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The
POLITIC
A Yale College Publication

Volume IV Issue II
Fall 2003
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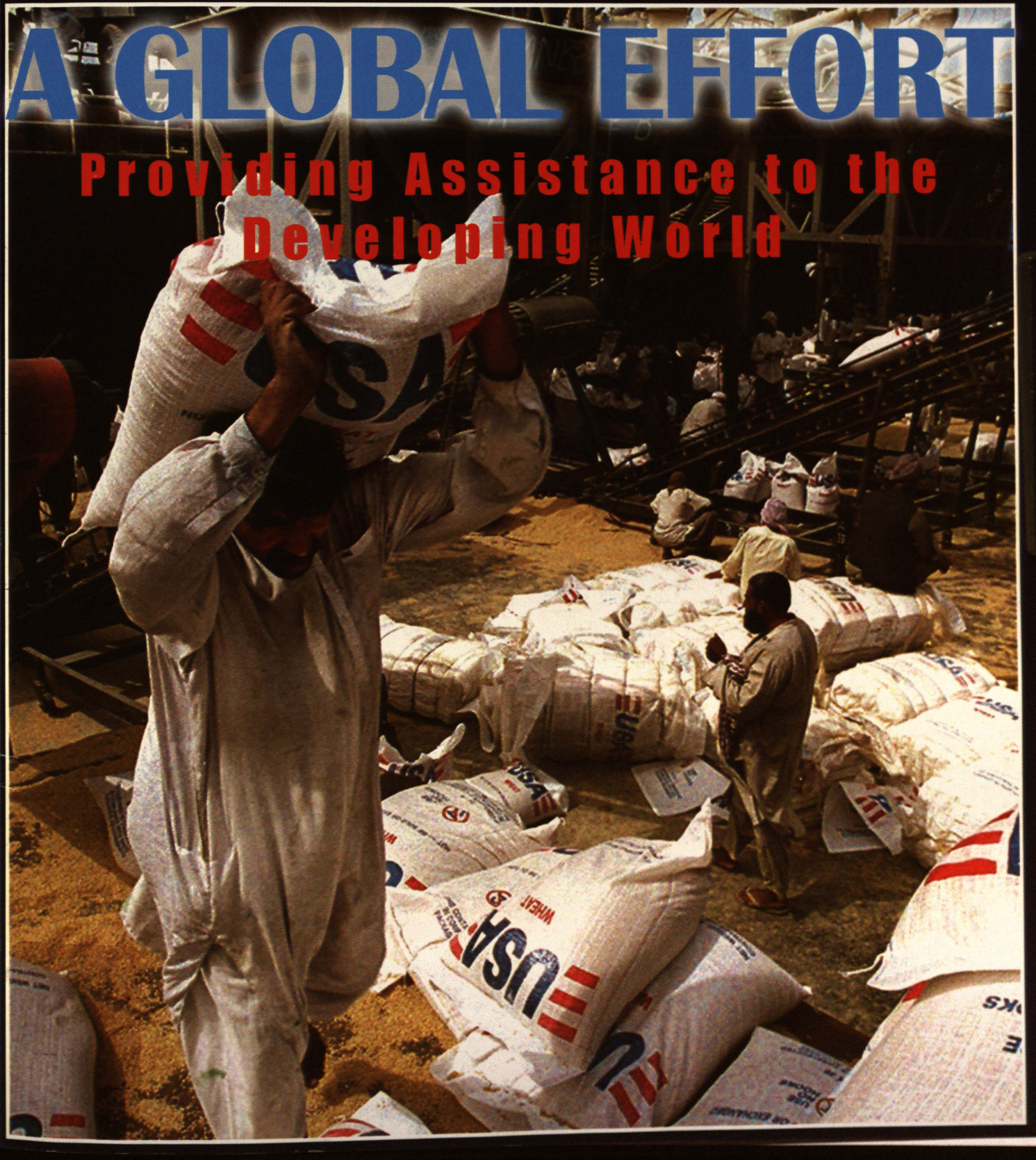
A GLOBAL EFFORT

Providing Assistance to the Developing World



thank you

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The Politic would also like to extend its sincere gratitude to its Board of Advisers, whose guidance has played a large role in shaping the development and expanding the influence of The Politic.

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The POLITIC

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Dear Reader,

As the United States pursues nation building in Iraq and Afghanistan, international development has found its way to the political mainstage. To reflect this focus, this issue of *The Politic* has brought together an array of articles focusing on the topic. Carl Gershman, President of the National Endowment for Democracy, makes the case for democracy as a universal good in developing countries. In the second piece, Don Wallace, Professor Emeritus and Chairman of the International Law Institute at Georgetown Law School, considers the important role of strong legal systems as a facilitator of development. Next, Anne Krueger, First Deputy Managing Director of the International Monetary Fund, writes on how the IMF can stimulate and assist positive globalization. Finally, Raghav Chopra, a sophomore in Jonathan Edwards College, takes a look at the economics of rebuilding Iraq.

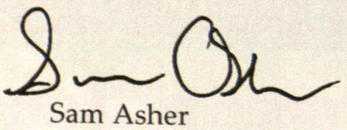
In the national section, Mel Martinez, Secretary of the United States Department of Housing and Urban Development, discusses the future prospects for low-income housing practices and policies. Brian Goldman and Jason Davis, both Yale undergraduates, write about the California recall and welfare reform respectively.

The international section brings together an interview with Pulitzer Prize winning author Daniel Yergin and an article by Gene Sperling, Director of the National Economic Council under President Clinton. In addition, Marc Sorel seeks to understand recent French diplomacy, and Ted Wittenstein discusses securing weapons in the former Soviet Union.

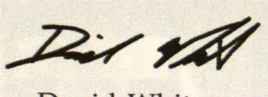
Doing its job, the opinion section presents a series of bold positions, from campus conservatives to cable news. The section closes with a point/counterpoint concerning Howard Dean and his effect on the Democratic Party.

The insights of these contributors should provide a comprehensive look at numerous issues of the day. As always, we sincerely hope that you enjoy this somewhat tardy issue.

Sincerely,



Sam Asher



David White

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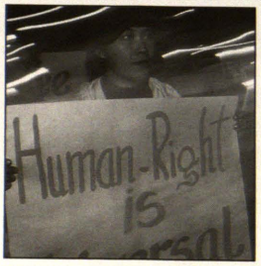
Fall 2003



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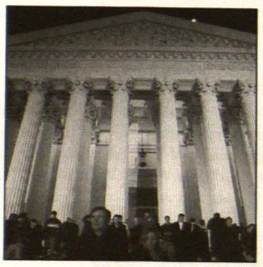

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letters to the editor:

Re: Eroding Civil Liberties

To the Editor:

Paul Kaufman's piece on the Total Information Awareness (TIA) office was right on. The executive branch greatly overstepped its bounds in designing a program to spy on regular Americans. Unfortunately, such a move is not surprising in an administration featuring officials like Attorney General John Ashcroft who claimed in the last issue of *The Politic* that "secrecy is the friend of democracy."

Nonetheless, recent events have shown that civil libertarians can effectively fight the Bush administration's unnecessary intrusions into our lives. Thanks in no small part to pressure exerted by the ACLU and all others who protested encroachment on our privacy, John Poindexter, the head of TIA, stepped down this summer, and the program itself was terminated shortly thereafter by Congress.

In his article Kaufman accurately described a flagrant infringement on our basic rights. It is good to see that voices such as Kaufman's sometimes can make an impact on policy carried out on Capitol Hill.

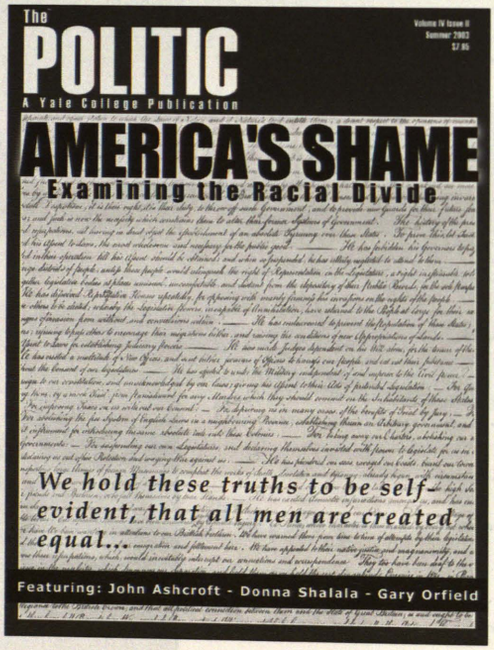
Michael Ryan
San Francisco, CA

Re: Two Asian Flashpoints

To the editor:

James Lilley's analysis of East Asian hot-spots is both comprehensive and well-informed. His insider's expertise is apparent in his discussion of the trouble brewing on the Korean peninsula and across the Taiwan Strait. Nonetheless, his prescription for détente does not emphasize the United States' strategic position in maintaining the status quo of Taiwanese-Chinese relations.

Recently, close to 50,000 Taiwanese citizens marched in support of independence, demanding that the island's name be changed from "the Republic of China" to "Taiwan." The government of mainland China would almost certainly view such action as a hostile move towards complete autonomy by what they identify as a rebellious province. This demonstration was encouraged by the Taiwanese president's own Democratic Progressive Party, among other factions friendly to the independence movement. Soon afterwards, Taiwan's 11th straight bid for U.N. recognition failed to make it into the General Assembly's agenda. Taiwan's policy of seeking to re-enter the international arena has been a constant threat to communist China, which assumed Taiwan's U.N. seat in 1971. The United States, and the people of Taiwan, should be very wary of this bold trend.



The current status quo is extremely beneficial for both the U.S. and Taiwan. Taiwan is enjoying domestic economic prosperity while maintaining de facto political independence. It also profits from peaceful relations with mainland China, its most important market. By following an official "one-China" policy and supplying large economic incentives, meanwhile, the U.S. appeases mainland China into relaxing its often active attempts to subdue the island. In so doing, U.S. interests are served by opening two significant markets to American trade.

Control of Taiwan has always been a vital component of Beijing's agenda since the revolution. U.S. and Taiwanese leadership must not force this issue into the forefront by pushing negotiations between China and Taiwan. Because China can never allow the international recognition of Taiwan's independence, any negotiations working towards this end can only escalate into a show of force. The U.S. is in a position to cultivate its relationships with two lucrative trading partners; its only strategic objective is in using its economic and military influence to maintain the status quo by exerting pressure on both governments. Risking conflict over Taiwan's recognized "legal" independence is foolish and clearly not in the best interest of any of the parties involved.

Regina Jacobs
Stamford, Connecticut

The Politic welcomes letters to the editors, article submissions, and any and all comments. All articles must be written exclusively for *The Politic*. *The Politic* reserves the right to edit all submissions. Please send all correspondence to editor@thepolitic.org or:
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Re: Summer Issue
To the editor:

I want to compliment the staff of *The Politic* for producing an incredible summer issue, which I read cover to cover. It is incredible that Yale students get such exclusive interviews and articles from such prominent figures. While *The Politic's* content is second to none, its layout is also spectacular. I hope that you keep up the great work!

I enjoyed reading your last issue, which examined the "racial divide" in America. While I agree with your editors that our country must ensure equal educational opportunities for children, I was troubled by their suggestion that all America's public schools need is more federal funding. If you take a look at schools right down the street from Yale, you'll see newly-renovated buildings with computers and textbooks and other windfalls, but you won't find significant improvements in academic achievement. Observers of all political persuasions agree that our urban schools are in a state of crisis. Yet most efforts at school reform treat schools as isolated institutions, disconnected from the communities in which they are embedded and insulated from the political realities which surround them. Innovative reforms are necessary to improve America's blighted urban school districts, not just more money from the federal government.

Nancy McGovern
New Haven, CT

Recent and Upcoming Books By Yale Faculty

David Greenberg, *Nixon's Shadow: The History of an Image* (W.W. Norton and Company, 2003).

In his book, Greenberg, a former Bancroft Prize winner, presents an impression of the many faces of Richard Nixon as viewed through the eyes of his critics and supporters. He addresses the manipulation of Nixon's personality for publicity reasons, noting that Nixon is the first president with whom this occurred. *Nixon's Shadow* is an excellent chronicle of the ever-changing public perception of an extraordinary complicated president.

The IMF and Economic Development by James Raymond Vreeland(Cambridge University Press, May 2003)

For all these Rights: Business, Labor, and the Shaping of America's Public-Private Welfare State, by Jennifer Klein (Princeton University Press, September 2003)

City: Urbanism and Its End.by Douglas W. Rae (Yale University Press, September 2003)

Negotiating with Imperialism: The Unequal Treaties and the Culture of Japanese Diplomacy by Michael Auslin (Cambridge: Harvard University Press, 2004)

The Peloponnesian War by Donald Kagan (Viking Press, May 2003)

The Landscape of History: How Historians Map the Past by John Lewis Gaddis (Oxford University Press, September 2002)

By the Numbers

57/1000
Infant mortality rate of the world, 2000

3/1000
Infant mortality rate of Sweden and Switzerland, 2000

7/1000
Infant mortality rate of the United States, 2000

105/1000
Infant mortality rate of Iraq, 2000

157/1000
Infant mortality rate of Liberia, 2000

165/1000
Infant mortality rate of Afghanistan, 2000

180/1000
Infant mortality rate of Sierra Leone, 2000

100%
Percentage of U.S. population with access to safe drinking water, 2000

48%
Percentage of Iraq population with access to safe drinking water, 2000

11%
Percentage of Afghanistan population with access to safe drinking water

Source: United Nations Statistics Division

Quotables...

"What we need in this country more than anything now is economic justice"

-Howard Dean '71, Democratic presidential candidate

"Save the workers, save the families... Put America back to work Keep hope alive"

-Rev. Jesse Jackson speaking to striking members of local unions 34 and 35

"To hear a siren and have it just be a fire truck and not an ambulance rushing off to a bombing, it was nice."

- Etgar Lefkovitz, reporter for the *Jerusalem Post*, discussing terrorism in Israel

"Howard Dean represents the 'get mad' wing of the Democratic Party while my dad represents the 'get-even' wing of the Democratic Party."

- Matthew Lieberman '89 Law '94, son of Democratic presidential candidate Sen. Joseph Lieberman '64 Law '67

On CAMPUS

Law Professors File Suit over 'Don't Ask, Don't Tell'

On October 16, more than half of the professors in the **Yale Law School** filed a federal lawsuit against the **Department of Defense** over the **Solomon Amendment**, which forces universities receiving federal funds to allow military recruiting on campus. Under its nondiscrimination clause, the Law School had banned military recruiters because of the armed services' "don't ask, don't tell" policy on homosexuality but chose to suspend the clause last year when over $350 million in federal funds were threatened. Yale University administrators will negotiate with the Pentagon before deciding whether to file a suit on the behalf of the University itself. The military's "don't ask, don't tell" policy has been a major issue of debate at the Law School both this year and last year, with opponents of the policy holding several rallies on campus.

Yale Law School Dean to Step Down

Yale Law School Dean **Anthony Kronman** has announced that he will step down in June 2004. Kronman, who has held the position for 10 years, said he will take a year off and then return to teaching at the law school in the fall of 2005. A search committee will recommend a candidate to assume the position by the end of the fall semester. Three faculty members told the **Yale Daily News** on September 29 that international law professor **Harold Koh**, who served as Assistant Secretary of State for Democracy, Human Rights and Labor in the **Clinton Administration**, is the current front runner.

Presidential Primary Season Gears Up

As campaigns for the Democratic Presidential nomination heat up, Yale students are also beginning to take sides, holding meetings and campaign events, and filling the editorial page of the Yale Daily News with their views. Backers of **Wesley Clark** gathered at a local restaurant on September 18 to watch their favorite announce his candidacy, and staffers of **Joseph Lieberman '64** came on October 1 to recruit for his campaign. Other groups have formed to support **Howard Dean '71**, **John Kerry '66**, and **John Edwards**.

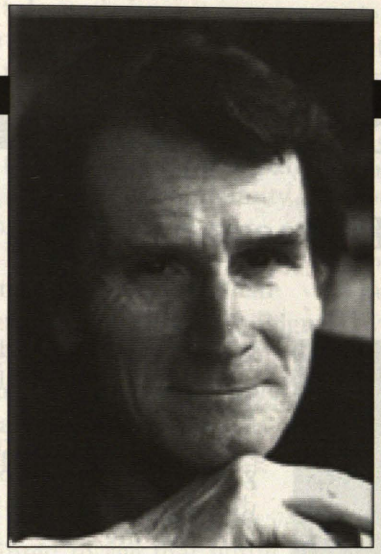
A Campus of Activists

Citing the high degree of student involvement in the labor strikes, ***Mother Jones*** magazine ranked Yale 10th in its annual roundup of the top 10 activist campuses. Two years ago, the University was ranked first on the list after students protested against the pharmaceutical company **Bristol-Meyers Squibb** to make AIDS drugs more readily available to African nations. The list, published in the latest Mother Jones September/October issue, said that 400 Yalies were among the 800 people arrested for blocking the intersection of College and Elm streets last September. The article also said 500 undergrads endured outdoor classes during a snowstorm as part of March's "**Education in the Streets**" protest aimed to promote union solidarity.

Good New for Commuters

The **Environmental Protection Agency** recognized Yale for its commitment to easing the stress of transportation by promoting commuter-friendly alternatives for employees. The "Best Workplaces for Commuters" initiative was established by the EPA and the **U.S. Department of Transportation** to encourage workplaces to reduce emissions and traffic congestion, as well as to establish a higher standard of living for workers. Factors that contributed to Yale's recognition were its extensive shuttle service, its promotion of the train system and vanpools, its HomeBuyer program, and its Guaranteed Rides service, which offers emergency rides home for some employees.

spotlight on:



Jolyon Howorth

Visiting Professor, Department of Political Science

Jean Monnet Professor of European Politics, University of Bath, United Kingdom

What did you do before coming to Yale?

I was the Jean Monnet professor of European Politics at the University of Bath in the United Kingdom for many years, but I've always had a variety of different hats. I taught courses at the Institute of Political Science in Paris. I've also been a visiting professor at a variety of American universities, including University of Washington, NYU, Columbia and Harvard. So I've had the opportunity to travel quite a bit and enjoy new experiences.

How did you end up here?

I was invited! There were people here who knew that I was visiting the United States and one day I received an invitation that I couldn't refuse, so we entered into a relationship and it's been very enjoyable.

What sort of projects have you been involved with in the last few years?

My main research is the European Security and Defense Policy (ESDP). ESDP is a project for the Europeans to try to gradually put together a military capacity which will guarantee stability and security in the European area. The completion of this project will allow the European Union to emerge as a significant player on the international stage and to become a stronger and more useful ally.

In a paper you wrote last year, you made the point that the European divide over invading Iraq was not an issue of disagreement over what should be done, but rather a problem of timing and method. Do you feel that this still holds true when reconstructing Iraq?

Yes, at the moment everything is all about timing. The current French proposals to manage the transition period involve a timetable which is much more rapid than the American one for handing over sovereignty to the Iraqis. At the recent meeting in Berlin between Tony Blair, Gerhard Schroeder and Jacques Chirac, my understanding is that the substance of their discussion over Iraq was based precisely on the question of how quickly Iraw should become a sovereign region. On that issue, the three of them are probably closer together than any one of them is to the position of the U.S. administration.

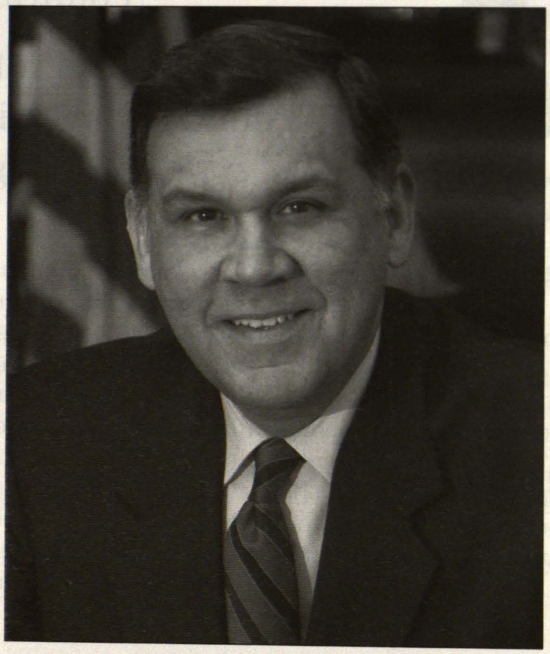
What role do you think the European Union will have in the future of international relations?

Well I think it will have a growing role. The European Union is already massively the biggest donor of aid to the global south and to developing countries — 55% of all aid given in the world is given by the European Union. The European Union is not just giving development aid and trying to rectify the imbalances between the North and South. The European Union increasingly plays a role in mopping up after wars which have been conducted by the United States. We have this sort of semi-jocular saying in Europe that the Americans fight the wars and the Europeans do the dishes. In terms of nation building, the Europeans have stayed in the Balkans to try to make something of the postwar reconstruction. The Europeans are doing the same job in Afghanistan, and we are now seeing a debate between the Americans and the Europeans about a European contribution to postwar reconstruction in Iraq. The European Union is not an aspiring superpower. Rather, the European Union will mix large quantities of "soft" power with increasing quantities of "hard" power. ♦

BUILDING A BETTER FUTURE

An Interview with Mel Martinez

Described by President Bush as "the embodiment of the American dream," Mel Martinez, Secretary of the Department of Housing and Urban Development, fled Cuba for the United States in 1962. Before working at the Department, Secretary Martinez was the elected Chairman of Orange County, Florida, in Orlando, and served on the Governor's Growth Management Study Commission. He previously served as President of the Orlando Utilities Commission, on the board of directors of a community bank, and as Chairman of the Orlando Housing Authority. On September 26, he spoke with The Politic.



What are you doing to improve access to affordable housing?

We are very anxious to see more people own their own homes, so our homeownership initiative is at the heart of everything we do related to housing. In this year's budget, for example, we have increased the budget for the Home Partnership Program by more than 5%. This is a federally-funded, locally-administered program that provides assistance to the construction of affordable housing, to downpayment help for people who cannot help make a downpayment on a house, or to construct rental apartment housing that is affordable. That is the most concrete thing we have done towards affordable housing.

On that note, tell us a little about the American Dream Downpayment Initiative (ADDI) and how you expect it to help low-income families once it passes Congress.

The American Dream is our effort to counteract what we know to be that biggest barrier for minority and low-income families to become homeowners. So by providing assistance to those types of families, with their downpayment, we know that we can overcome the greatest single barrier to home ownership and help them to achieve that dream. In order to do that we have developed a proposal to Congress, a $200 million grant program that provides downpayment assistance to low-income, first-time homebuyers. I am happy to say that it is moving through the Congress. We had over 200 co-sponsors of the bill and I am very hopeful that this will become law in the very near future.

Aside from ADDI, what are you doing to increase minority home ownership and close the minority home ownership gap?

The president led an initiative called the Blueprint for the American Dream Partnership where we partnered with the private sector. As part of the partnership, we encourage the private sector to work along with the government in addition to doing things without our assistance in order to increase minority home ownership. From realtors to mortgage bankers to home builders, the entirety of the housing industry has joined with us in this partnership, having all focusing on providing opportunities for ownership to minority families. I am delighted to tell you that we have had some wonderful results already. In the first year of this partnership, we have increased minority home ownership by 809,000 American families, which is nearly as much as the two previous years combined. So we are very, very pleased with the results.

How has your personal history informed your own decisions regarding immigrant minority outreach?

In my own personal life I came here as a young immigrant. When I reunited with my parents, I can recall very vividly the delight and the pleasure and the pride that our family felt when we were able to purchase our first home in America. So I truly believe that owning a home is at the heart of the American dream. But more

than that, I also believe it is a very important component of giving an immigrant family a real stable foothold in their lives. It tremendously helps the children of immigrant families to be able to really feel that they are a part of the community in which they now live.

Together with President Bush you recently launched a campaign to end chronic homelessness. What policies have been implemented and what are the prospects for their success?

When I came into office I was very disappointed to see that while we had been spending over $1 billion a year on the issue of homelessness, the number of people homeless was the same it had been eleven years ago when this cycle of spending had begun. So we began to look at techniques that we could employ and initiatives that we could utilize that would be both compassionate and lower the number of people suffering from homelessness. We came up with a strategy that directly attacks the problem of the chronically homeless so that we can then free up more dollars to deal with the remainder of the population.

Our strategy is to be implemented by bringing together all of the facets of the federal government, not just HUD, but Health and Human Services, Veterans Affairs, and others, and working together on a new initiative called the Samaritan Grant Program. This grant program is designed to provide support housing to the chronically homeless so that they are not just taken care of for a night, but that they might be taken care of for a lifetime. And by dealing with their medical problems, which are usually the root cause of chronic homelessness, we can help tackle their drug or alcohol addiction and provide care for those with mental illness. Secondly, the program makes sure that we do not open a front door to homelessness while trying to close the back door. That means that we also have to work on strategies with our local partners for dealing with people who are institutionalized, whether it be in a jail, a mental institution, or a rehab center, so that they are not released from those places to the street and to homelessness to begin the cycle all over again. We thus provide for them an after-care program and a supportive housing environment where they can begin to lead more productive and more fruitful lives.

Under your tenure what has HUD done to strengthen communities and what programs have had the most success?

Well I believe that our Community Development Block Grant program is probably our most successful. This is a program that has its roots back in the Nixon administration. It is a revenue-sharing program whereby the federal government provides to municipalities and localities a great deal of federal money so they can revitalize their communities. I believe that that is the most successful way in which we partner with our local governments to try and provide a new level of revitalization to many of our poor communities where frankly, a great deal of decay and a great deal of dislocation has occurred in the past.

The administration's proposal to eliminate Hope VI has been met with strong opposition on both sides of the aisle. At last year's budget hearing, for example, Senators Mikulski and Bond both expressed serious concern. Why does the administration seek to eliminate Hope VI and what programs would fill the void?

We have a concept that when something is started in government and has an end date of ten years, that we should go ahead and end it when the end date comes along. While very well intended, the fact of the matter is that in addition to the end date, we have also found that the Hope VI program had a tremendous backlog of expenditure rate. In other

"I truly believe that owning a home is the heart of the American dream."

"We would not in any way mix religion and government."

words, many, many communities had received grants under the Hope VI program to revitalize public housing, and even though they received the grants, five years afterwards they still had not utilized the money. We thought it was prudent to allow that spend-out rate to catch up with itself and for some of those communities to either do their projects or lose the money so that other communities might have the benefit of the money. But more dynamic than that is our proposal to try to utilize private financing schemes and mechanisms so that we could provide a way for communities to revitalize dilapidated public housing by utilizing private financing. Frankly, in such a system, it could be done more efficiently, more effectively, and with a lot less regulation and red tape.

How have you engaged faith-based and other community-based organizations into HUD's mission and what success have you had thus far?

Well a few weeks ago, in response to the president's executive order, we enacted our final regulations that go into effect regarding the relationship between the federal government and organizations of faith. We had a hodge-podge of regulations, none of which agreed with each other, most of which were well beyond the requirements of the law and the Constitution in relation to the separation of church and state.

We are guided by three principles. First of all, we would not in any way mix religion and government, so in other words, organizations of faith are required to clearly separate what they do as part of their religious work from the social work that they might do. If you run a soup kitchen in a church social hall, for example, church is one place, the soup kitchen takes place in a different place, and the money that is utilized from the federal government can only go towards the soup kitchen, not towards your worship. Secondly, we would not discriminate, so that all organizations would have an equal opportunity to compete for funds—including organizations of faith. The third thing is that we would not require organizations of faith to lose their religious identity in order to partner with the federal government. We had some silly regulations which were not rooted in law, were not rooted in the Constitution, which require organizations to do things like take a religious symbol from the wall in order to be able to run a soup kitchen with federal money. Well, as long as you serve all comers, you do not dis-

criminate of other people that come to receive your services, and you do not impose religion in any way shape or form while they are there receiving that benefit, than the small religious symbols, or the identity, or mission statement of an organization really has very little to do with the capable delivery of social services. So I am very excited that we are to this point as one of the very strong initiatives of this president. It's something that will allow us to focus more on results and who can deliver them as we seek to help the neediest in our communities, driven by compassion and not by trying to follow a stream of regulations that often times made little or no sense.

In the old system, one federal program might have told an organization of faith "you cannot do it because you are a faith organization," and the next day, another program with the same utilization of federal dollars would say "no, you're fine; you can do it and you don't have to change anything." So we've leveled the playing field. We've clarified and cleaned up. I think it's going to make it possible for many organizations of faith to partner with us in doing the good works in communities that are so desperately needed.

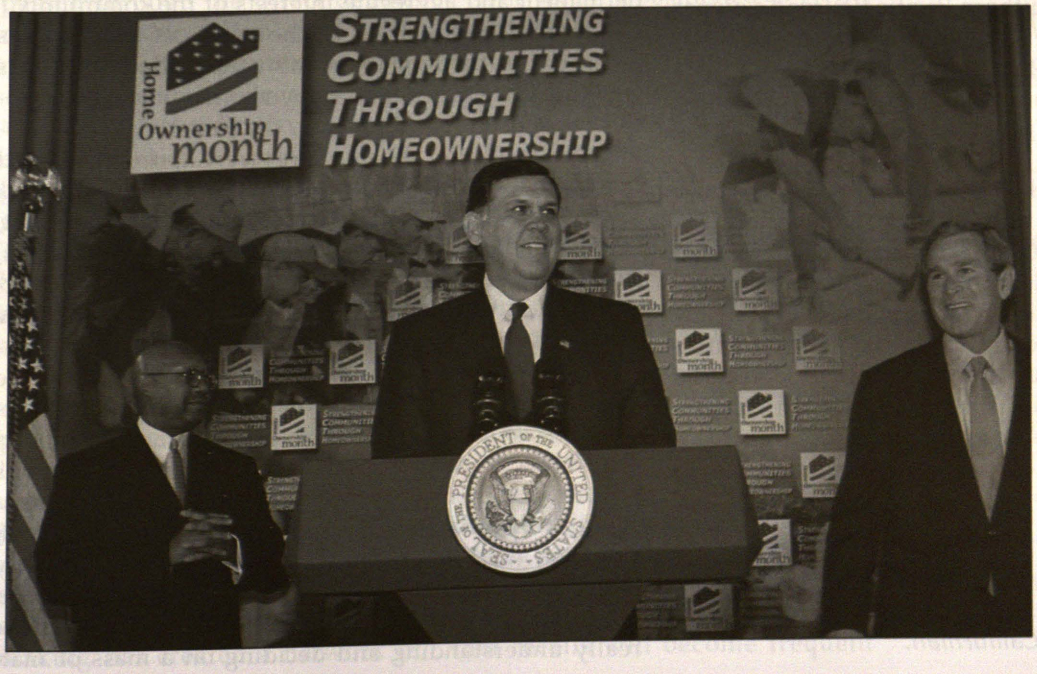
Where do you see yourself in the next few years and do you plan on re-entering state politics, perhaps with a run for the Florida governorship?

Well, to tell you the truth, a lot of people talk to me about that. It is something that I will surely give some thought to when the time comes. But the time isn't now. My focus right now is going to be on continuing my work as HUD secretary and doing the very best job I can for the president, and also to be very focused on his re-election because I think it is very important for America that President Bush be re-elected.

What sort of things are you involved with in campaigning to the Hispanic community for President Bush on his re-election effort?

Well, I am doing what I am asked from the White House mostly, but from time to time I do go out and speak to groups whether they are Hispanic or otherwise. I will do what I can to help his re-election and I certainly believe that he's made a connection with the American people and with the Hispanic community. ♦

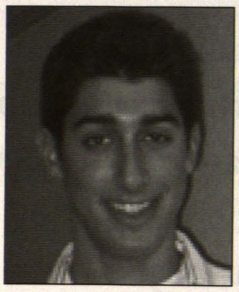
"I certainly believe that President Bush has made a connection with the Hispanic community."



THE CALIFORNIA RECALL

Democratic Necessity or Dangerous Precedent

by Brian Goldman



A rock star, a former child actor, a pornography publisher were among the many candidates vying for California's highest office, and a larger-than-life movie star is now the governor of California. Last summer, the Republican Party initiated an effort to oust Governor Davis from office.

Although Davis did not take bribes, extort funds, or committ any crime worthy of impeachment, he lost his job to Arnold Schwarzenegger. As the nation's largest state looks back on this drama, a pertinent question arises worthy of analysis, that is: What is the history of the Californian recall law?

The origins arose in the political arena of the early twentieth century. During this time, the Southern Pacific Railroad dominated Californian politics. From the middle of the nineteenth century, the Southern Pacific Railroad established a transportation monopoly. In so doing, the company was able to consolidate control over politicians and the media. Corruption was rampant. The Southern Pacific's Political Bureau lobbied at all levels of government successfully. The company offered subsidies to newspapers with "correct" views. In one case, a relative of the Southern Pacific Railroad's owner paid voters on the streets of San Francisco to cast ballots favorably towards the company's views.

Around the turn of the century, a group of reformers attempted to free the Californian legislature from the railroad's influence. In 1910, a Progressive gubernatorial candidate, Hiram Johnson, campaigned successfully on the platform that he would "kick the Southern Pacific out of politics." In the campaign, Johnson traveled California by automobile in order to illustrate that his actions matched his policies. Johnson ushered in a new era of Progressive politics in California. Johnson introduced the initiative, referendum, and recall legislation which voters ratified in a special election on October 11, 1911. All three measures were intended to increase the rights of voters and curtail the power of special interest groups, especially the Southern Pacific Railroad.

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The initiative on the ballot allowed Californians to bypass a corrupt legislature by directly proposing legislation. Citizens could also overturn existing legislation via a referendum. In addition, citizens retained the right to recall government officials. The legislation changed the political machine in California. From it arose a question which has been considered since its inception: Is direct democracy subject to persuasion from special interest groups and political parties?

James Madison feared the adverse effects that special interest groups could have in America's new democracy. He describes in *Federalist* No. 10, a special interest group is "a number of citizens, whether amounting to a majority or minority of the whole, who are united and actuated by some common impulse of passion, or of interest, *adverse to the rights* of other citizens, or to the permanent and aggregate interests of the community." In 1911, this fear echoed in the minds of Californians when critics thought Johnson's constitutional reforms went too far. Direct democracy was likely to be susceptible to abuse. An editorial in the *New York Times* published a week after the measures were approved, stated that there was "Anti-Democracy in California" (*New York Times*, 10/19/1911). The article went on to explain that, "While pretending to give greater right to the voters, [the initiative] deprives them of the opportunity effectively and intelligently to use their powers... The new method is proposed as a check on the [political] machines." But the strength of the machines lies in the inattention and indifference of the voters, and the voters are sure in the long run to be more inattentive and indifferent in proportion to the number of questions forced upon them at one time. When the machine managers get familiar with the working of the new method, they will work it for their own ends far more readily than they work the present method. The average voter, muddle and puzzled and tired by the impossible task of really understanding and deciding on a mass of mat-

ters, will give it up, and then the politicians will get in their fine work.

Until 1978, the warnings of the *New York Times* proved illusory. From 1911 until 1978 there were only forty-two initiatives passed. The most substantial initiative came in Proposition 13, which mandated massive property tax cuts. It passed in 1978. Proposition 13 had a large effect on California's economy. Moreover, the legislation had a lasting impact on state lawmaking. Proposition 13 set a radical precedent in the use of new media technologies to advance "populist" causes funded by small interest groups. One political analyst wrote that it awakened "the romance of the initiative as a source of real political power." In the quarter-century since Proposition 13, fifty-four successful petition initiatives have decided major portions of both local and state fiscal matters. In addition there was legislation passed through the direct democracy process on a number of political, social, and educational issues, such as term limits, illegal immigration, affirmative action, bilingual education, and Native-American gaming. The direct legislation has gradually moved towards "Big Ticket" items, which before 1978 had been resolved in the legislative arena, as opposed to the popular arena.

The passing of legislation often requires compromise at various points during lobbying, debate, and legislative review. Therefore, the content of the bill is at all times subject to change. However, initiatives contain precisely the content its sponsor's desire. The effectiveness of this unimpeded process of lawmaking has created a network of political consultants, direct-mail specialists, signature gatherers and media who identify financial supporters, petition signers, and win voters. The presentation of ballot propositions has become such a big business that it has been dubbed the "Initiative Industrial Complex."

Is direct democracy a misnomer? There is little involvement of "the people" in drafting initiatives. The initiative process is dominated by relatively small, well-established and well-financed special interest groups.

The recall is positioned to go the way of the initiative. Until 1995 not a single state government official was recalled. Moreover, the question of a governor's recall has never qualified for the ballot. Davis' defeat could be for the recall what Proposition 13 was for the initiative. Similar to the special interest groups of initiatives, a small and wealthy group, in this case led by Republican Congressman Darrel Issa, launched the recall movement.

It is not at all clear that direct democracy could produce anything at all resembling the will of the people of California. Schwarzenegger needed only a plurality of votes from among a large field of replacement candidates.

Equally disconcerting is the risk that recalls will become frequent

"The presentation of ballot propositions has become such a big business that it has been dubbed the 'Initiative Industrial Complex.'"

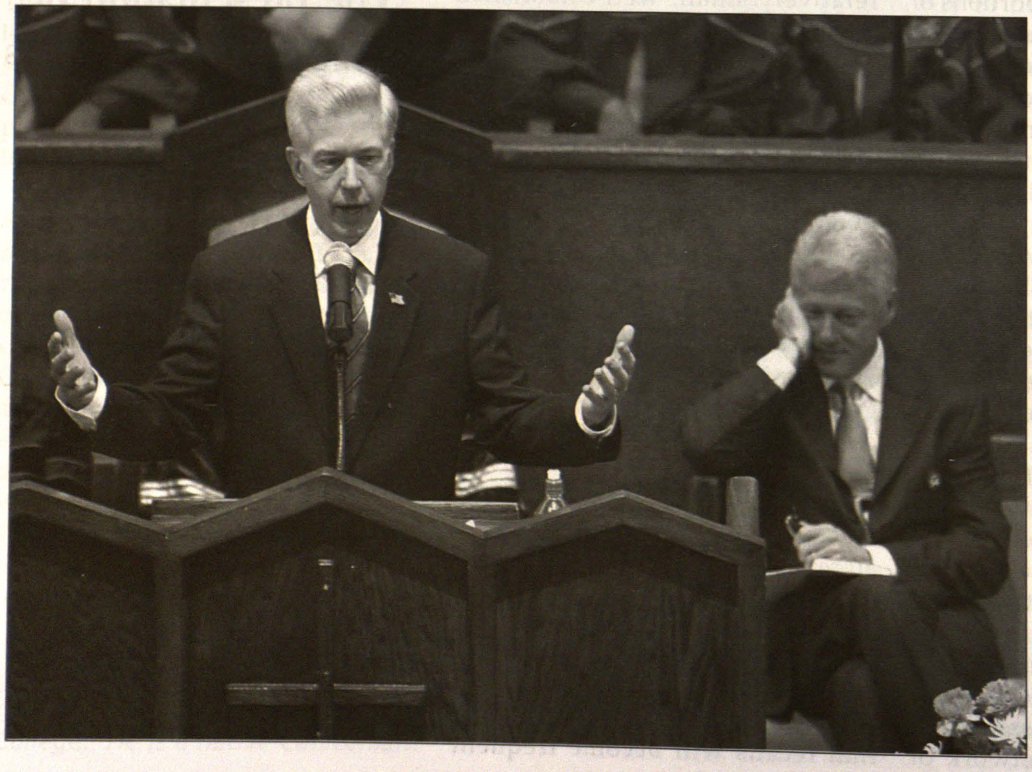
"Use of the initiative has become a first resort, not a last resort."'

events—a change that would fundamentally alter the nature of governance by necessitating a never-ending campaign cycle, which would be costly and add to governmental inefficiency. Political science professor Ian Shapiro commented, "The recall seeks to obliterate the distinction between politics and government, which I think is a bad idea. Politics is to determine who is in control. Government is supposed to be responsible decision-making by a group. To govern, one might have to do very unpopular things. If the process of government is perpetually swamped by politics, then it won't be possible to make responsible decisions."

Shapiro pointed to the European parliamentary system as an example of a political system that does allow for sudden challenges to executive power and in which coalition dissolution and votes of no confidence can necessitate unexpected elections. He added, however, that parliamentary systems are often complemented by much larger and more-powerful civil service structures than are found in representative governments. These civil service structures operate as a "compensatory mechanism" that prevents more frequent or unforeseen political turnover from destabilizing the operation of government. In the American system of representative democracy, fixed terms allow politicians to take risks and to assume unpopular positions if they are viewed to be right or responsible without immediately being held accountable to unhappy voters.

Shapiro worries that the recall "is the worst of both systems. It politicizes normal government by getting rid of fixed terms and makes it difficult for future leaders to make unpopular short-term decisions—all without the benefits of European civil servant systems. History is path dependent—the recall effort will have created a process and the social learning on how to use that process. If it is used in the 18 states that have recall provisions, or again in California, then politics will perpetually be swamping government. If everything is about the struggle for power and nothing else, it's civil war—a war of all against all."

Although Progressive moves towards populism and direct democracy were a well-intentioned response to interest group influence and governmental inefficiency, they have served to perpetuate those political ills. Use of the initiative has become a first resort, not a last resort. When the legislature fails, the representative government is partially paralyzed—a condition that has added to its perceived inefficiency, which only fuels greater reliance on initiatives to make laws in the state. In both lawmaking and recall efforts, the populace has assumed a greater power to make significant decisions based on the "temporary delusion[s]" that Madison warned against. ♦



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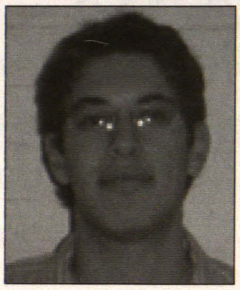
REAL WELFARE REFORM

A Fresh Look at the Negative Income Tax

by Jason Davis



Welfare reform, once a hot topic in American politics, has received scant attention in recent years. But with a record federal deficit of $480 billion, the time has arrived to re-evaluate federal spending levels and fix America's deeply-flawed welfare system.

Though not singled out by politicians, anti-poverty programs represent an unnecessarily large portion of public expenditures. To reduce deficits in a socially-responsible manner, America needs sweeping reform. The reform should include the "negative income tax." This tax, which once enjoyed support from both Republicans and Democrats, carries the potential to reduce the cost of welfare while simultaneously providing living-standard assurances to the nation's poor. If revived by any of the presidential hopefuls, this bold reform can forge the bipartisan coalition necessary to win what is likely to be a close election in 2004.

The most recent major welfare reform was the Personal Responsibility and Work Opportunity Act, signed into law by President Clinton in 1996. This largely Republican effort ended the major federal entitlement program of Aid to Families with Dependent Children (AFDC) and replaced it with a $16.5 billion block grant to states to fight poverty. The new program, Temporary Assistance for Needy Families (TANF), reformed AFDC on two main fronts. First, work requirements eliminated the guaranteed entitlements of AFDC. Those who receive TANF benefits are required to be in the workforce within two years. Furthermore, benefits are limited to a five year period after which most recipients are no longer eligible for TANF aid. Perhaps more important than the new limitations, however, is the devolution of much of the welfare decision-making to the states.

The legislation has sharply reduced the number of Americans on welfare rolls. The U.S. Department for Health and Human Services reports that welfare cases have dropped from 5.5% of the population at their height in 1994, to 2.1% of the population in June of 2000. While the results of the TANF reform are promising, critics counter that the decrease in welfare recipients is only a product of the late '90's boom economy and the very limitations on eligibility that mark the cornerstones of the program. Detractors from both the left and right insist that the new initiative actually punishes Americans who need assistance most, noting that poverty rates have remained largely unchanged in spite of the reforms. The merits of reauthorizing TANF are currently being debated in the Senate, mostly along party lines.

Despite apparent progress in welfare reform, revisions have thus far been largely program-specific. Including TANF, the federal government alone funded at least 70 overlapping anti-poverty programs in 2000. Robert Rector of the Heritage Foundation observed that, including the many state-sponsored programs, welfare's total price tag came to over $434 billion that year. Even without the colossal healthcare assistance programs, the expenditures still approached $212 billion, almost half of the projected record budget deficit for 2004. These appropriations fund a complex web of the bureaucratically-administered state and federal programs that have *not* significantly reduced poverty levels. In 2001, the U.S. Bureau of the Census estimated that 11.7% of American citizens - 32.9 million people – were living beneath the poverty line. In the face of mounting welfare expenses and government spending, this poverty rate has been relatively constant since the mid 1960's. Such welfare spending represented 4.4% of the nation's GDP in 2000, growing from only 1.2% of the nation's GDP in 1965, Rector said.

According to the U.S. Census Bureau, the theoretical "total income deficit," the amount of money needed to bring all impoverished Americans above the poverty line in 2000, was calculated to be just shy of $80 billion.

Jason Davis is a sophomore in Jonathan Edwards College at Yale University

Americans are therefore currently overpaying for anti-poverty programs by about $354 billion. Obviously there are flaws in this overly simplistic logic. Anti-poverty programs benefit some who are not under the poverty line, not all welfare programs are cash-based, and the cost of the welfare bureaucracy is not taken into account. Moreover, our current system has structural disincentives to work. Nonetheless, if the Treasury merely wrote a check to each impoverished citizen, the cost would be less than half of even the most liberally calculated taxpayer tab. This reality, though disingenuous, illuminates the financial excesses of the current system.

In response to the shortcomings of governmental social spending, Nobel laureate economist Milton Friedman has touted a radical approach to welfare reform. He favors a single negative income tax, integrated into the positive income tax, to replace the myriad programs supported by taxpayer dollars today. America's positive income tax allows for a certain level of untaxed income; any income in excess of this amount is taxed on a graduated scale. If an individual's income is at or below this threshold level of allowances, he simply pays no taxes. Under a negative income tax system, however, this would not be the case. Any income above allowances would be taxed in a fashion similar to the current system. If an individual's income happened to be lower than his allowances he would receive a government subsidy. The subsidy rate would be set to a level that would encourage recipients to find work while providing a safety net for times of need. At an optimal subsidy rate, every extra dollar earned by a recipient would be an economic improvement over collecting a fraction of the difference in the form of a subsidy. Incentives to work are thus greatly increased.

A negative income tax plan has been present in the political arena since the 1960's. Lyndon Johnson's Office of Economic Opportunity initiated field tests to study the effects of the program in 1968. The results of this research were incorporated into Richard Nixon's Family Assistance Plan (FAP) of 1969, a negative income tax program introduced to replace the social programs of Johnson's War on Poverty. Cash payments were to be provided to all underprivileged Americans, not merely the single parents receiving AFDC aid, and all in need were to receive guaranteed minimum income levels as a result of subsidy rates. Though it had broad appeal, the FAP was immediately attacked. Conservatives objected to the idea of an income floor for all Americans. Some liberals, conversely, found the "acceptable" income levels for impoverished families too low and a threat to the minimum wage. Other advocates of welfare recipients, moreover, refused to support any program that might reduce benefits. Despite initial backing, the Nixon plan was defeated in the Senate and abandoned in favor of a more popular agenda.

In *Free to Choose*, Friedman praises the negative income tax, observing that "[i]t is directed specifically at the problem of poverty. It gives help in the form most useful to the re-

"Anti-poverty programs represent an unnecessarily large portion of public expenditures."

cipient, ... cash. It is general - it does not give help because the recipient is old or disabled or sick or lives in a particular area, or any of the other many specific features entitling people to benefits under current programs." This option would restore a certain degree of economic independence to the lives of those who receive benefits, providing cash instead of a mixture of conditional funds and intangible services. A simple negative tax system would additionally reduce the need for an expensive bureaucracy, which could be streamlined with supplemental IRS civil servants to handle the additional paperwork.

The time is ripe for a modern resurrection of the Nixonian negative income tax initiative. Though many of the obstacles that the Nixon administration encountered are still present today, the need to reduce budget deficits while fully providing for the nation's poor has never been stronger. Recent welfare reforms have also put partisans in a position to accept a more radical policy. While Nixon's failed plan was introduced in the wake of the extremely liberal Great Society program, the current welfare environment is decidedly more conservative. Under current TANF law, for example, payment of benefits is not guaranteed and recipients are only eligible for a limited time. Working and job training are major components of current statutes as well. The guaranteed income floors and the unlimited eligibility of a negative income tax will appeal to liberals and should help them to overlook past objections. Conservatives, on the other hand, will approve of an economically sensible plan based solely on individual needs and not on arbitrary characteristics such as family structure, age, and sex. Both the left and the right must also concede that this plan is more humanitarian and equitable than the fundamentally subjective system currently in place. The presidential candidates, of both parties, should recognize this opportunity to mobilize and unite the American people in an exciting redirection of domestic policy. President George Bush stands to gain greatly by embracing Nixon's initiative. By pushing this radical welfare reform through Congress, he will at once be able to demonstrate domestic leadership, embody the "compassionate conservatism" advertised by Republican strategists, usurp the Democratic role of protector of the downtrodden, and build a broad political coalition for future endeavors. Any of Bush's Democratic opponents, meanwhile, can use the president's domestic failures to justify the necessity of adopting a negative income tax. The Democrats have the chance to reclaim their traditional position as champions of social responsibility, especially in light of their acquiescence to conservative TANF legislation during the Clinton years. A compelling candidate who forces radical welfare reform into the public spotlight could gain strong popular support in the face of an administration that has relied heavily on foreign policy and massive tax cuts to garner support.

"The time is ripe for a modern resurrection of the Nixonian negative income tax initiative."

Any successful cure for poverty must integrate a historical understanding of welfare's past shortcomings into a modern domestic agenda that will rescue the American welfare state. Though poverty has remained almost constant since the Johnson administration, anti-poverty spending has increased to over seven times 1965 levels. Recent welfare reform is a promising start in a trend toward greater work incentives, but its capacity to alleviate poverty has been superficial at best. The negative income tax is a simple, efficient, and cost-effective method of providing a quality standard of living for the impoverished on a need-only basis. Each presidential candidate now has the opportunity to revive a plan that will truly leave "no American behind." It is time for the leaders of this nation to re-examine our socially and fiscally irresponsible system of public assistance and turn to a more effective, reasonable alternative. ♦

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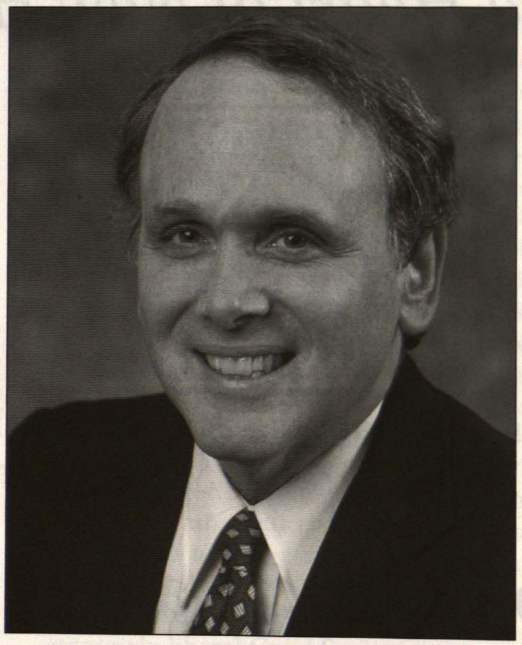
A NEW AGE OF GLOBALIZATION

Evaluating Energy, Markets, and the World Economy

Daniel Yergin, chairman of the consulting firm Cambridge Energy Research Associates, has long been recognized as one of the world's foremost experts on global politics and economics. The author of the Pulitzer Prize-winning book The Prize: The Epic Quest for Oil, Money, and Power, *Yergin has also written critically acclaimed works on Russia and the global economy. Both* The Prize *and his most recent work,* The Commanding Heights, *have been made into critically acclaimed documentaries. On Sept. 26, 2003,* The Politic *interviewed Yergin.*



The Politic: It seems as though we are in a critical stage in the reconstruction of Iraq. How important is oil to the reconstruction efforts?

Daniel Yergen: Oil is essential to the Iraqi economy, and oil revenues are essential to how Iraq does economically. I think that the slowness of the recovery of the oil industry has cost Iraq several billion dollars of revenue that didn't happen. But I think there is also an exaggerated view of how quickly the oil industry can expand. There was a view that the oil revenues were more or less going to pay for reconstruction, and that's clearly not the case.

What are some of the challenges Iraq faces in rebuilding its oil industry?

The number one challenge right now is security. The oil fields were not damaged during the war, so it's really a question of damage since then caused by looting and attacks on the pipeline. So improving security is critical, and they have made a lot of progress in the south of the country. But in the north there is a particular vulnerability with a pipeline going to Turkey from the northern fields.

Beyond that, it is really a question of the timing and scale of investment. It was like the industry was held together with bailing wire — it was very improvised — and it will take a lot of investment to get it back to where it was. The big expansion that people are looking for is a much longer term and costly investment. There, you're really expanding the industry significantly, which is a $30 or 40 billion job.

One of the most commonly expressed criticisms of opponents of the U.S. war in Iraq was that the American government was waging a war for oil. Is there any truth to this claim? What will be the impact of Iraqi oil on U.S. energy markets?

I think there is really a tendency to exaggerate the impact of Iraq. Iraq is a significant oil producer, but it is a significant oil producer like Nigeria or Norway. It has large reserves, but that's not the same thing as production. The return of Iraqi oil to the market and the security that will bring will help to modify oil prices, which will be good for the economy. But when you look out ten years, world oil demand might grow by as much as twenty percent, and the question is: where is that oil is going to come from? Iraq will only be part of the answer – for instance, more oil production will probably be added in Russia than will be added in Iraq.

In his State of the Union address, President Bush said he would "promote energy independence for our country, while dramatically improving the environment." How do you expect these efforts to change U.S. energy markets?

You have to deal with the reality of the situation. In the State of the Union address, President Bush included the hydrogen car initiative, but that's a long-term research and development project. Ten years from now, we will probably be importing more oil than we do today, unless there is a drastic change in our transportation fleet. The other thing I think is going to happen is that we will start importing a lot of natural gas, since it is so important to

electric power and it is a very popular, environmentally attractive fuel.

How did September 11th change the geopolitics of oil in the Middle East? Has the importance of oil in making policy diminished in an age of increased fears about terrorism?

Oil is the most important global commodity and it is the fuel, more than anything else, that makes the world economy run. Every recession since the early 1970s has been associated with high oil prices, so oil is critical. Post-September 11th, there is clearly much more concern about the security for our main infrastructures: our information infrastructure, our financial infrastructure, our transportation infrastructure, and our energy infrastructure. That includes, of course, more attention to security in terms of the flow of oil around the world. Businesses move an enormous amount of oil around the world, and it depends upon a very long supply line.

Moving closer to home, you and your firm have undertaken one of the most extensive analyses of the August 2003 blackout. What were the flaws in the energy grid that allowed the blackout to happen?

Over the years, we have moved much more towards regional and national markets in terms of electric power, and supplies really do move back and forth. We've partially deregulated and partially not deregulated our industry. Transmission has been one of the hardest nuts to crack. In many cases — but not all cases —they have deregulated generation, but transmission is still seen as a natural monopoly. The question is how you get the level of investment you need in transmission, particularly transmission between regions. We've been investing about two to five billion dollars a year in transmission, and we probably need to invest about 10 billion.

If you read the op-ed pages of the *New York Times* or the *Wall Street Journal* after the blackout, you got two very different explanations as to why it happened: either there was too much deregulation of energy markets or not enough. Who was right, or does this argument over deregulation miss the point?

People looked at the transmission problem and read into it what they wanted to see...We've only had partial deregulation, a hybrid, and it did not seem to us that the blackout was a problem of deregulation. There were technical reasons, there were still-unexplained things that happened to the computers, and to add to that, there were fundamental questions about coordination: who had an overview of everything that was happening?

In *The Commanding Heights*, you noted that "every day, the market has to earn and prove its legitimacy." How well has the market earned the confidence of Americans and people around the world?

There have been a variety of shocks. Obviously, the financial crisis that circled the world beginning in Asia raised questions. It nearly brought Wall Street to its knees, even though almost no one recognized it at the time. And there have been a series of events that have shaken trust. As Professor Schiller wrote the other day in the *Wall Street Journal*, trust and confidence are the foundations of the system. You can look at it and say that the system is working and it is correcting itself, but one thing you do not have to worry about anymore is irrational exuberance.

But on a global basis, there is a question of whether the markets deliver the goods and bring rising standards of living. The answers are mixed around the world. If you look at Asia or you look at China, whatever the problems are, it is downright amazing to watch what has hap-

"Oil is the most important global commodity and it is the fuel, more than anything else, that makes the world economy run."

pened. But in Latin America, there are more questions about per capita income. And then there are those parts of the world that have been isolated from the global economy, including the Middle East.

It is a daily testing. The pendulum has swung back somewhat, but there is still no good alternative. And if you are looking at a country like India that wants to go from its former two or three percent economic growth to six or, in the future, eight percent growth, the only way it can do it is to go to a more market-oriented economy from a more statist economy and to be more integrated into the world economy..

Two years after the Enron scandal first emerged, how effective do you think the legislative and regulatory response has been to recent corporate scandals?

Sarbanes-Oxley was rather quickly put together. You hear mixed things about how effective it is, and what kind of burden it has placed on companies. I think it would make sense for an academic group or a think tank to do an audit and look at intended and unintended consequences. That means looking beyond Sarbanes-Oxley. Was it necessary to destroy Arthur Andersen? Was that a good idea? I think that was not the best way to go about solving the problem of a few people within a firm who where breaking the law and not doing the right thing. I'm not sure that destroying a firm of 85,000 people and reducing the number of accounting firms and the level of competition in the industry was the best thing to do. Maintaining Arthur Andersen under the leadership of Paul Voelker would have been another path, but popular pressure was so strong.

Former U.S. Treasury Secretary Lawrence Summers remarks in your documentary that free trade is often unpopular because it has "invisible beneficiaries, but very visible losers." With the issue of free trade taking on growing importance in the campaign for the Democratic presidential nomination, how much political will do you see in the United States for the continued expansion of open trade?

First of all, the movement in the late 1940s that began with GATT to open up the world economy was an example of people very correctly learning the lessons of history and not wanting to repeat what happened in the 1920s and 1930s. There was an extraordinary process of opening the world economy to trade, and the benefits have been enormous. Without it, we wouldn't have had the growth that we take for granted now.

I was having a discussion the other day with a former special trade representative and she observed that this process did not happen by accident — people had the will and leadership and the dedication to make it happen. That needs to continue. We are now in a round of trade talks and we should not let it fail. If people are concerned about global poverty and alleviating it, trade and openness — with the right social institutions and foundations in each country — is the most effective way to go. For me one of the real eye-openers in the *Commanding Heights* was to look at Asia. Four decades ago, Asia was the poorest continent in the world. South Korea and Singapore were on the same level or below West Africa. Last time I checked, Singapore has a higher per capita income than Britain. There was a major governmental role in making that happen, but the key thing Singapore said was that it was going to be part of the world economy. So that's why what trade can mean for Africa so overwhelms what foreign aid can do.

"If people are concerned about global poverty and alleviating it, trade and openness is the most effective way to go."

How critical was the failure of the September World Trade Organization talks in Cancun?

It's certainly a big step back, and people are arguing over whether the conference needed to end when it did. But there's going to have to be a process of regathering and going forward again. They need to go back and look at what failed, and they also need lead-

ership. Trade negotiations are never a smooth process because there are a lot of interests at stake. I think that Larry Summers' comment makes that basic point: you really know when a factory closes, but you don't see the much broader positive impact on employment and income that comes from expanded trade.

What role did agricultural subsidies in developed countries play in the failure of the talks?

I think that's really a lot of what the big divide is about. Of course, agricultural subsidies and protectionism, in France, Japan, and so forth, have a great deal to do with maintaining constituencies that are politically important, so these are going to be tough decisions to deal with. But people point out that a lot of poor people live on a dollar a day, and a cow in the European Union lives on two dollars a day.

Globalization has been blamed for many things — environmental degradation, the loss of cultural identity, global inequality. How appropriate are these criticisms to the current age of globalization?

I think that globalization gets blamed for lots of things that people don't like. They may be concerned about global poverty, or they may not like genetically modified foods, or they may be concerned about the environment. I don't think the diagnosis is correct — as a country's standards of living rises, its environmental protections generally improve. But maybe they don't like market capitalism, or they don't like things they identify with the United States.

So there are a lot of legitimate criticisms, and there are a lot of things, as Jagdish Bhagwati calls it, based on the "fallacy of misaligned blame." Things that people don't like, they blame on globalization. Yet globalization is an abstraction. What is it? It means a world more tightly tied together. Are we really outraged that it costs only four percent as much today to make a phone call from New Haven to London as it cost in the 1970s? That's globalization. Globalization is your junior year abroad. It's the fact that air traffic between Asia and the United States has increased sixfold in fifteen years. You have to bring globalization down to Earth to understand these things.

What has been the impact of anti-globalization protests?

I think the impact is somewhat less than it was before September 11. I think September 11 really changed perspectives. Are we going to have a less connected world? I always think in terms of the first age of globalization before World War I – it did end.

But the question is not whether globalization goes away, but what kind of globalization we have. Is it a world where commerce works well, connections work well, poor people in Africa start to rise up to the level of wealthier nations, global battles over trade issues are resolved, and we are not rocked by protectionism and financial crises? Or do we have those problems? That translates into growth rates, but it's also been a longstanding concern of mine as to what happens to democratic institutions when economies don't perform well.

Can the conditions for good globalization be controlled by policymakers?

Absolutely. I think people can make good decisions and they can make bad decisions. People can try to address the issues of getting the rules of the game to work well or not. We're more likely to be able to deal with these problems, for example, if there is less animosity between the United States and Europe.

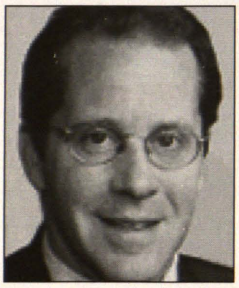
I think another thing we're going to have to deal with is this phenomenon of anti-Americanism that has spread through the world. Some countries resent what they see as American unilateralism. It's not a particularly cooperative time, and that spills over into everything. ♦

"The question is not whether globalization goes away, but what kind of globalization we have."

A SILENT CRISIS

Toward a Global Compact on Education

by Gene Sperling



Lack of education is the silent crisis of the developing world. Only rarely – when the Taliban forbids girls to learn, or when we find weapons, rather than children, in Iraqi schools – does the issue make headlines. But around the world today, according to a 2002 UNESCO report, 115 million children between the ages of six and eleven do not go to school. Of those children who are in school today, 150 million will drop out before they finish a basic education.

Currently only one out of every five developing countries manages to get all of its children a primary education. In Sub-Saharan Africa, only 55 percent of children attend primary school, and only 24 percent go on to secondary school. In Bangladesh, a recent study found that just over half of children complete primary school and a third of those who do cannot read or write.

The situation is particularly bad for girls, who make up two-thirds of the world's unschooled children. Barely half of girls in Sub-Saharan Africa attend primary school, and only 17 percent are enrolled at the secondary level. In Benin, for instance, a typical teenage girl has received less than three months of education. Stories from Afghanistan of Taliban thugs warning classrooms full of girls that they would be burned alive if they came back the next day were rightly shocking to many Americans. But in most areas of the world, girls are held out of school by more subtle means: the economic barriers of destitute poverty, the opportunity cost to parents who need help with housework and childcare, and cultural norms that suggest girls should marry early and begin having children of their own. When parents do want to educate their girls, they often fear for their safety on the long walk to school or even with a male teacher in the classroom. Additionally many girls do not go to poor rural schools because the buildings lack the simple but essential requirement of a private girls' toilet.

From a moral perspective, all of us should want to see these children educated for the sake of the education itself – to help them understand the world and live richer lives. But a strong body of research shows that successful approaches to expand education – particularly among girls – represent critical foundational investments that lead not only to higher growth and less poverty, but smaller, healthier families, less infant and child mortality, a slowing of the spread of HIV/AIDS, and greater prospects for democracy. Numerous studies have found that in the developing world, every extra year of education a person receives boosts his or her income level by an average of 10 to 20 percent. In the poorest countries this can make the difference between being able to feed one's family or send one's children to school. At the national level, one study found that a single percentage point increase in the number of girls completing secondary school boosts a developing nation's overall annual per capita income growth by a third of a percent.

Education also leads to healthier families, mainly by improving mothers' abilities to care for themselves and their children. According to a World Bank report, a child in Africa born to an uneducated mother faces a 20 percent chance of dying before the age of five, whereas the risk for a child whose mother has at least five years of basic education drops to 12 percent. Across both Africa and Southeast Asia, mothers who have a basic education are 50 percent more likely to immunize their children than are uneducated mothers. Mothers that are more educated are also likelier to have smaller, more manageable families: a 1995 study of fertility rates in 72 countries found that "the expansion of female secondary education may be the single best lever for achieving substantial reductions in fertility."

In addition, while we lack a vaccine against HIV or a cure for AIDS, education is one of the best social vaccines against HIV/AIDS. Schools provide our best opportunity to reach the next generation in developing countries with the information necessary to avoid risky behavior before they become infected with this deadly disease – but only

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if we act to get all kids in school. Indeed, a recent study in rural Uganda found that over the course of the 1990s, people who finished secondary education were seven times less likely to contract HIV – and those who finished primary education half as likely – as those who received little or no schooling. Furthermore, new curricula specifically teaching AIDS prevention strategies have shown promise of even greater effectiveness in teaching children to avoid this epidemic disease.

Finally, although the effects of education on civic and political life have only recently been studied, initial research has found, not surprisingly, that educating a country's population promotes more responsible, representative government. A review of data from more than 100 countries by Robert Barro found that the emergence of democracy followed increases in primary school enrollments, particularly when girls' enrollment levels caught up to the boys'. Barro argues that these findings confirm the hypothesis that "expanded educational opportunities for females goes along with a social structure that is generally more participatory and, hence, more receptive to democracy."

Moving forward

The crisis of the world's unschooled presents a complex mixture of challenges, from the direct and indirect costs to parents of sending their kids to school, to the lack of access to either physical classrooms or even minimally qualified teachers, to deep-seated cultural expectations about who should and should not be taught. The complexity of the problem requires flexible, situation-specific interventions that are grounded in community commitment and political will at the national level. The good news is that we have seen impressive progress in recent years, even under the toughest of circumstances. Extensive research has shown that from Pakistan to Peru, successful efforts to get children into school combine some or all of the following strategies:

·**Making schooling affordable for poor families by covering schooling costs, including, critically, the elimination of school fees.** In Uganda, primary school enrollment immediately doubled from 3.4 to 5.7 million children when free schooling was introduced in 1997; Mali saw a 55 percent increase in enrollment when it cut fees in 1994; and enrollment in Tanzania doubled in January 2000 when the government abolished primary school fees.

·**Offering targeted scholarships to help cover the indirect costs imposed on poor families (such as uniforms and transportation) as well as the opportunity costs from lost work and chore time.** A number of countries have had great success with this approach, including Bangladesh, Mexico and Brazil. For example, the Bolsa Escola program in Brazil, which provides payments to families contingent on keeping their children in school, has virtually eliminated dropouts and brought a third of previously un-enrolled children into school.

·**Building a network of local schools close to children's homes, with a strong commitment of community support to both help finance schools and run the administrative processes.** Successful community school approaches include the Bangladesh Rural Advancement Committee's (BRAC) network of informal schools, which achieved near double the attendance rates of government schools, and Colombia's "Escula Nueva" model of multi-grade schools that contributed to a 30 percent increase in rural enrollment and has been widely replicated across Latin America.

·**Providing enough trained teachers to keep class sizes down to 40 students per class**, and working to recruit and train female teachers in particular, which helps attract more girls to school. Indonesia built over 60,000 schools in four years in a drive to increase enrollment, but coupled this effort with an initiative to provided additional qualified and trained teachers to maintain class size. As a result, student academic performance was

"Currently only one out of every five developing countries manages to get all of its children a primary education."

maintained despite the rapid expansion of the school system.

Last year I traveled with a group of universal education advocates and U.S. congressional representatives to Ethiopia, which ranks 158th out of 162 countries on the U.N. Human Development Index, and saw some of these ideas put into practice. At the Tula Kebale Primary School, the school's dynamic young female principal and the head of its parent-teacher committee explained how by getting the community involved in parental outreach efforts, the school had tripled the number of female students in just four years. Ethiopian Education Minister Genet Zewde said that efforts to build schools in remote areas and other special steps to recruit girls helped Ethiopia achieve a 75 percent increase in female primary school enrollments over the same period — a byproduct of a six-year program developed by the U.S. Administration for International Development, the Ethiopian government and local and international children's non-profit groups. Yet we also saw first-hand the limitations of such innovative leadership if not supported with adequate resources — Tula Kebale Primary School's admirable success in getting both boys and girls to attend school led to a class of 170 second-graders under the direction of a single teacher.

"The goal of a global compact on universal education should be to empower countries already committed to serious national reforms."

Making progress to universal basic education

The solution to this crisis must have its roots in a greater commitment to **education** from poor country governments across Africa, South Asia and Latin America. Research and experience have shown that a critical prerequisite for making any progress is that developing countries themselves take responsibility for creating comprehensive, nationally owned strategies that provide a quality basic education for all their children, which include innovative plans for delivering **education** to marginalized groups, such as girls and the rural poor. These plans should include not only strong anti-fraud protections and mechanisms for ensuring budget transparency but also a commitment to mobilize appropriate levels of domestic resources to support the national goal.

But the key question for the United States and other rich countries is clear: How can we most effectively help developing countries make and sustain progress in their efforts to devise and implement credible, accountable education plans?

The answer lies neither in thinking that we can throw money at countries and impose our preferences at will, nor in assuming that countries burdened with debilitating and destabilizing problems of poverty and disease will be able to devise and implement sound national education plans entirely on their own. What is needed instead is a well-defined global compact where donors make a clear commitment of resources, contingent on poor countries demonstrating commitment to credible national plans to get all kids in school.

This approach is grounded in the basic idea that our assistance is most effective when it empowers those who are committed to taking responsibility for addressing their own challenges. This is increasingly becoming the model for major development initiatives, from the HIPC debt relief initiative and the Global Fund for AIDS, tuberculosis, and malaria to the newly proposed Millennium Challenge Account. Indeed, President Bush, speaking to a Major UN Conference in 2002, called for just such a "new compact for development defined by greater accountability for rich and poor nations alike."

The goal of a global compact on universal education should be to empower countries already committed to serious national reforms and to provide strong incentives for countries that are not quite there. In effect, the traditional debate over whether money is or is not the central problem for achieving universal education presents a false choice. Few disagree that the current levels of funding are woefully inadequate to achieve the goal of universal education by 2015, considering the depth of the education crisis in so many poor countries, particularly African nations. Yet there is agreement that throwing money at countries where corruption is rampant and no safeguards exist will do little good. What a global initiative can pro-

vide is a credible *ex ante* commitment of donor resources contingent on countries demonstrating significant progress toward developing sound and accountable education strategies.

Of course, in determining how and when to turn on this spigot of funding, donors should be willing to employ both rigor and realism. Resources siphoned off because of corruption or government ineptitude not only end up wasted, but also create increased cynicism and frustration among the public in both donor and recipient countries. Yet this focus on transparency and accountability should remain most intensely focused on the education sector; we ought to not hold up funding if the country that has, for example, yet to systematically address bribery and corruption in its ports.

A robust initiative must send a clear, consistent message at the global level about the standards, procedures and commitments underlying a global compact on education. Poor countries in general have little confidence that they will receive funding for education and are confused about the processes for seeking such support. As the Secretary of State for Education in the Gambia publicly stated, the current message from donors is: "You develop a good education plan and somebody may or may not help you based on a number of unclear or undisclosed factors. That is not a contract." Ministers tend to look at the donor countries and multilateral institutions as complex and distinct windows of funding, each with unique, often conflicting, standards and interests. While donors continue to encourage poor country governments to develop comprehensive national plans, educational ministers end up spending their time cultivating friendly relationships with individual donor countries and cobbling together funding – for building renovations from one donor, for teacher salaries from another, and for books and desks from yet another. Even highly promising recent efforts in the U.S. could increase confusion in poor countries, as these countries may now have to navigate their education plans through the separate funding processes of USAID, the MCA and the new HIV/AIDS initiative.

At the donor level, the goal of universal education has been hampered by the lack of any viable process for determining where and when financing gaps exist and how donors might coordinate to fill them. When education plans are actually implemented within poor countries, the result of fractured donor interests is a high degree of waste and inefficiency. Donors end up tripping over one another to support their pet projects, and spend little time coordinating with, or building the capacity of national governments. A credible global compact would greatly reduce this donor-mandated waste by providing a process for all donors to sit down with government officials, NGOs and other stakeholders. Such a structured, coordinated process for the implementation of a national education strategy would represent a dramatic improvement over the status quo, increasing both the effectiveness of our aid dollars and the level of recipient-country ownership of national education strategies.

A global initiative that improves coordination at the global, donor and recipient country levels could also initiate

"Poor countries in general have little confidence that they will receive funding for education."

a process of positive competition between developing countries. If a country sees its neighbors receiving resources after committing to specific universal education programs, it gives the county both the motivation to initiate reform and a set of models upon which to base its efforts. Indeed, the debt relief initiative provides an example of such positive competition: a few leading countries, most notably Uganda, completed clearly defined steps early on and received relief, which gave other eligible countries confidence that their reform efforts would be rewarded.

Even the Education for All Fast Track initiative, which has set credible standards and a financing framework, but has not received serious commitments of donor support to date, has begun to initiate such a process of positive competition. In the wake of the announcement of the initial Fast Track nations, representatives from countries not chosen demanded to know exactly why they were not chosen and exactly what they needed to do to be included in the next round. If donors were to back this initiative – or a broad global compact – with a clear contingent commitment of resources, the power of positive competition would be multiplied many times over.

"A global initiative should not be seen as a project of a multilateral institution like the World Bank or UNESCO."

U.S. leadership towards a global compact

The ultimate measure of U.S. success in the area of universal education should be the extent to which our leadership, including the commitment of resources, helps move the world toward the goal of getting all kids in school. To this end, the United States should commit itself to the principles of a clear global compact on universal education and create a new, clearly identified pool of funds to catalyze the initiative in conjunction with other donors and poor country governments. Following the first global meeting on universal education in Jomtien, Thailand in 1990, there was never a clear compact put in place to support the goal. Poor countries could come forward with national education plans, but they were never presented with clear, agreed-upon standards or ensured contingent funding. After bringing the world together again in 2000 to reaffirm the goal of universal education and commit to its achievement by 2015, it is critical to make this compact real. If not, we risk increased skepticism and diminished hope of any measurable progress. It is also imperative that America not only be a part of this solution, but lead this effort.

The Fast Track Initiative has attempted to construct a viable financing framework to both identify and support accountable national education plans. This initiative has the potential to provide the type of clear, rigorous standards for national plans and the kind of coordinated framework for contingent donor commitments that are necessary to spark positive competition and inspire poor countries to succeed. As such, it represents an important resource in helping to construct a viable global compact. But it will never succeed without strong U.S. leadership and support. A global initiative should not be seen as a project of a multilateral institution like the World Bank or UNESCO. It must reflect a commitment by the United States and the other G-8 donors to take direct ownership of the standards and financing structure to support the goal of universal education for all.

Of course, a key component of moving this global compact forward is increasing America's financial contribution to universal education. It should be noted that, however far we have to go, there have been several positive steps taken in this area over the past five years. The Department of Labor has added an education component to its efforts to prevent child labor, while the HIPC debt relief initiative does seem to be freeing up substantial resources for education. In addition, the MCA offers the hope of some new education resources in a handful of high-performing poor countries."

But we must also recognize that these improvements come from an extremely low and unsatisfactory base. Even if the education and anti-child

labor funds total close to $300 million, this still means that the U.S. government spends on education for all the world's poor children what a single U.S. city spends to build 12 to 16 high schools.

In November 2002, UNESCO projected the total external monetary resources necessary to achieve universal primary education by 2015 at $5.6 billion per year. This estimate likely represents the low end of what it will realistically take to provide all kids with a quality education, because it assumes only the strictest definition of primary school. It does not include significant funds to support innovative approaches to target traditionally marginalized groups, and still assumes substantial increased contributions by countries hard hit by AIDS and other poverty challenges. And as explained above, countries that have been most successful in increasing enrollment and quality have done so by supporting non-traditional programs like the Bolsa Escola targeted scholarships in Brazil and intensive community-based approaches in Africa, which are highly promising but also relatively expensive.

To send a clear message on education, the United States should take the lead in making a contingent commitment to cover its share of this total resource requirement. Currently the U.S. economy accounts for about a third of global GDP and about 40 percent of the GDP of the developed world. In the debt relief initiative, the United States covered about 25 percent of the total contributions made to the multilateral trust fund. Therefore a reasonable and appropriate U.S. commitment would be to cover a minimum of 20 percent to 30 percent of the total resource requirements for achieving universal education – about $1.5 billion to $3 billion annually. This amount would not break the bank – in fact it would represent only 10 percent of the likely annual reconstruction costs in Iraq. Furthermore by making these new funds contingent on countries demonstrating significant capacity and commitment to reform, we would not be immediately increasing outlays and affecting the deficit by the amounts pledged. Indeed we might end up spending only a fraction of our total commitments in the first few years of an initiative. But the strong contingent pledge would ensure that when U.S. taxpayer dollars were spent, they would be supporting only the best, most highly accountable and comprehensive national education plans. By leading with this commitment, the United States would also be in a position to challenge other G-8 leaders to contribute their shares.

Considering our nation's strong belief in education and the inherent worth of all children, we in the United States should consider not only doing our share in a global effort, but actually going beyond our share to lead the world in the fight for universal basic education. While the academic evidence shows that education in poor countries is a wise practical investment towards higher incomes, healthier families, and greater democracy, it is worth noting that when tens of millions of American families witnessed the Taliban banning Afghan girls from going to school, they did not need to hear such studies or statistics to know it was wrong and to want our country to take action. These Americans knew fundamentally that every child should have the right to a basic education, and that for any little boy or girl or reach their potential, they need to be given the opportunity to learn and go to school.

While the United States should be commended for acting quickly in Afghanistan and Iraq to support efforts to get all kids in school, our simultaneous unwillingness to support a global compact for all poor nations suggests a current policy on universal education which is primarily reactive, not proactive. Perhaps it is time for us to extend President Bush's "preemption" strategy into the area of universal education for the world's poorest children. In the realm of universal education, an ounce of preemption today for a foundational investment in democracy, stability, poverty reduction and empowerment could be worth a pound of intervention and rebuilding down the road. ♦

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DECONSTRUCTING CHIRAC

Understanding French Strategy During the Iraq Crisis

by Marc Sorel

In a televised interview on March 10, 2003, French President Jacques Chirac announced his opposition to a proposed U.N. Security Council resolution that might have brought the international community weeks —if not days — away from war with Iraq. Chirac thus placed himself and his country squarely in the path of the United State's and United Kingdom's international security agenda in a way not seen since de Gaulle removed France from the integrated military command of NATO in 1966. Just four months after a unanimous vote in support of Resolution 1441, the U.N. Security Council could not agree on how to proceed in Iraq.

Chirac's efforts did not stop the United States, the United Kingdom, and their "coalition of the willing" from going to war against Iraq, so in the short-term, Chirac's actions might appear less important. But Chirac's support for the primacy of international law and the Security Council throughout the Iraq crisis represented a significant departure from his actions in 1995 when the French president tested nuclear weapons in the Pacific months before France was due to sign the Non-Proliferation Treaty in 1996. Indeed, in 1995, Le Monde editorialized that Chirac had mismanaged France's credit in the international system and that he was acting like a "proud loner" — criticism strikingly similar to that leveled on President Bush, albeit under significantly different circumstances. Moreover, in the mind of U.S. government officials, the Chirac that went before the world March 10 was different from the Chirac who had proclaimed in the fall of 2002 that, in the end, France is always with the United States.

If Chirac's history did not predetermine his actions during the Iraq crisis, why did he act in such a manner, and what does it mean for the international system? Interviews with diplomats, journalists, and think tank experts throughout Washington, D.C., London, Paris and Brussels who were close to the events of the crisis, rendered an image of Chirac that is more complex than the conventional descriptions of political tactician, principled idealist, or subversive Gaullist. Given a French political system that will not know cohabitation for the next four years, and given that the United States continues to experience difficulties in Iraq while contemplating further action in the region, an understanding of Chirac's actions during the Iraq crisis could improve Western nations' awareness of what diplomatic factors might influence future international action in the Middle East.

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Deconstructing Chirac

Over the course of the crisis, three divergent interpretations of Chirac's actions developed. The first was that Chirac had no strategy — that his actions were neither principled nor a patchwork effort to oppose American power. Instead, true to his "weathervane" political approach, Chirac followed the winds of public opinion at home and abroad. But while domestic public opinion might have had an inebriating effect on Chirac that encouraged his opposition to the United States, popular opinion — like the 5 million Arabs present in France — reinforced Chirac's self-confidence during the Iraq crisis instead of influencing his decision-making process from the beginning. When Chirac announced his opposition to the United Kingdom's proposed second resolution, he did so not just because his people wanted him to, but because he was promised the Security Council support he needed to guarantee the resolution's failure.

The second interpretation, shared largely by those in the French government and others who supported Chirac during the crisis, is that Chirac's actions were principled and devoid of malicious intent. This argument maintains that Chirac is France's most pro-American president ever, that he arrived at his policy on Iraq independent of the United States, that any conflict with the United States is nothing more than one friend advising another friend against making a big mistake, and that ideas such as "multipolarite" and "hyperpuissance" are non-aggressive French terms that have fallen victim to the vices of trans-

lation and American "euroskepticism." Indeed, throughout the crisis, Chirac did emphasize the primacy of international law and the United Nations above the interests of individual nations, and he did see Resolution 1441 as more than just a way of dealing with Iraq. Chirac wanted to avoid war because he thought it would destabilize the region and boost Al-Qaeda's recruiting numbers. At a greater strategic level, Chirac saw resolution 1441 as a new system not just for dealing with Iraq but as a blueprint for dealing with other proliferating countries such as Iran and North Korea.

But Chirac's principled approach was not without its realist underpinnings. Foremost among these was a concern for how a destabilized Middle East region might threaten French security. Chirac was also concerned with regaining French credibility lost in the Middle East following the first Gulf War. Moreover, there were financial considerations: although trade with Iraq in 2001 constituted a mere 0.2 to 0.3 percent of all French trade, $38 billion in untapped Iraqi oil reserves remained and the French oil company Total (formerly TotalFinaElf) was one among several groups from France, China and Russia that had signed contracts to develop those untapped reserves.

The third view of Chirac mixes these realist concerns with an anti-American motive to render a Gaullist determined to oppose American power at any cost, even if it harms the international system and its institutions. Under this reading, Chirac's end is to promote the Gaullist motives of "independence and grandeur"[1] for France through a multipolar vision of the world.[2] Taken to the extreme, this interpretation suggests that a personal relationship between Chirac and Saddam duly influenced the French president's actions, even though officials in the French, British and American governments have discredited such claims. More compelling than claims of personal influence among leaders is a history of Franco-American power struggles in the Middle East. In 1967, following the Six-Day War, de Gaulle shifted French policy in the Middle East away from Israel in favor of the Arab nations. France thus consolidated its position in the Middle East, protected its oil interests in Iraq, and resolved many of its problems in North Africa (with the notable exception of Algeria). This shift partly resulted from French fears that America's political interests in the Middle East might eclipse France's "vital interests" as had happened during the Suez Crisis in 1956. It was a suspicion that resurfaced during the "Year of Europe" in 1973, in 1986 when France refused the United States fly-over rights in its efforts to raid Libya, and finally in the first Gulf War, although then-French president Francois Mitterrand did bring France to the United State's side. In the most recent Iraq crisis, though, it was a suspicion that would not manifest itself until after Chirac realized the tremendous gap in perceptions that existed between him and the American government. It was at that point that his position changed from one without a coherent strategy to one determined to preserve the United Nation's integrity and legitimacy through a united Europe, in spite of American unilateralism.[3] It was also a strategy, which, because of its sudden employment, would prove unsuccessful in its immediate end — avoiding war — but may yet be successful in the long run as the United States continues to encounter resistance in Iraq.

The Crisis: An Evolving Strategy

In the first months of the crisis, Chirac was far from the confrontational position he adopted in March. If anything, he was the principled idealist during this time, placing the U.N. Security Council's role in Iraq above all other interests. Although clear on his vision for France in the world and for stability in the Middle East, Chirac avoided saying anything about what might constitute a material breach or how his country would react to such a breach. As for the United States, Chirac supported the idea of troop buildup in the Middle East to ensure Saddam's compliance. What he did not realize was that after Saddam's 12,000-page weapons declaration December 7, the Bush ad-

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"Chirac considered this diplomatic conflict to be a personal affront."

ministration no longer thought Saddam was serious about complying and thus decided to increase troop deployments to the area. As late as January 7 when he spoke to French soldiers of the need to be ready for action under any circumstance, Chirac was more concerned with ensuring the success of Resolution 1441 than with opposing American action.

But Chirac's tone changed after mid-January. Chirac's personal diplomatic advisor, Maurice Gourdault-Montagne, and French ambassador to the United States Jean-David Levitte visited National Security Advisor Condoleezza Rice January 13 with three arguments against war — that it would destabilize the region, boost Al-Qaeda's recruitment numbers, and boost general terrorist activity in the region. Rice rejected all three points in such a way to convince Chirac the United States was intent on moving toward war,[4] although this view was not crystallized until after de Villepin angered U.S. Secretary of State Colin Powell on January 20 by criticizing any form of pre-emptive action against Iraq. Chirac now realized that he could no longer work with the Bush administration at the United States, and in contrast to disagreements that arose during the Kosovo crisis or after his decision to test nuclear weapons in the Pacific, Chirac considered this diplomatic conflict to be a personal affront. Once he realized that the United States was on a significantly different strategic path from his own, Chirac redoubled his efforts to establish a unified Europe that could come together over Iraq and convince the United States to change its position. Consequently, the letters of 8 and the Vilnius 10 — in which the leaders of several European nations expressed solidarity with the United States — were perhaps the most serious blows to Chirac's strategy and to one of France's major sources of credibility as the Franco-German "motor" within Europe. By this time, Chirac did not consider war to be a real option under present circumstances, and his priorities shifted yet again. The Iraq crisis became a battle not just for the primacy of international law which he had advocated from the beginning, but for French credibility within the international system — credibility that had expired in the eyes of both the United States and the European governments which had declared their support for the United States.

With the United States and now the majority of Europe's political leaders opposed to his stance, Chirac's last source of support other than public opinion and the Maghreb region of North Africa was the United Nations. Although Chirac still believed the United States would realize the correctness of his conviction, his other realist concerns became more prominent. France had now entered into a slippery slope of credibility, where to turn back from her position and join the United States would be worse than maintaining her dogged support of the inspectors. But on March 9, when Mexican President Vicente Fox and Chilean President Ricardo Lagos told Chirac they would support him if he openly opposed a second resolution, Chirac had a solution to his problems. With a landslide majority electoral victory (including control of both prime minister's office and the presidency), overwhelming domestic and global public support for his position on Iraq, and, now, the support of a majority of Security Council member countries, Chirac had the tools he needed to ensure France would not lose all of her credibility.

Implications

In a situation as fluid as that which surrounds Iraq, it is difficult to reach any conclusions regarding the future of the United Nations, the European Union, NATO or Franco-American relations. The crisis did damage the U.N. Security Council, the European Union's Common Foreign Security Policy (CFSP) and NATO, leading U.N. secretary general Kofi Annan to warn of a global crisis. But it is unclear how long this damage will last, especially now that the United States is asking the United Nations for further assistance in Iraq.

Chirac's actions during the Iraq crisis and the resulting diplomatic conflict exacerbated old points of contention on crucial strategic issues between France and the United States. Foremost is a competition to define the strategic landscape. Chirac's multipolar vision is convenient because it frames the strategic landscape in a way that benefits France. Chirac says the world is already multipolar in some ways and will soon be multipolar in others — presumably meaning that a coalition like the one France organized to oppose the United States at the U.N. Security Council will become more effective and the country that organized the coalition will become more prestigious because of that success. The United States' National Security Strategy document is a similar effort to define the landscape with a different result: instead of multipolarity, the United States envisions a world where like-minded countries come together to preserve and promote freedom in the world. This landscape is advantageous to the United States, since its strong economy and military make it the most qualified country to lead other nations towards the fulfillment of this vision.

But these divergent descriptions lead to divergent prescriptions. For France, the best way to confer legitimacy is through multilateralist support. This is why Chirac acted to oppose what he thought was a "purely political" effort by the United States to invoke Article IV support for Turkey.[5] Conversely, the United States to a great extent thinks that it can derive much of its legitimacy from its preponderance of power. Of course, on issues where the two countries share similar strategic assessments (like North Korea) or on issues that are of varying importance to either France or the United States (like former French colonies in West Africa), this competition will not be as apparent nor will it be as severe.

From the outset of the Iraq crisis, Chirac's actions incorporated a principled respect for the primacy of international law and the United Nations that had not factored into his decision to conduct nuclear tests in the Pacific or challenge its NATO allies in Kosovo. Chirac never found common ground with Bush in the late stages of the Iraq crisis because he felt, as one Elysee official told me, that he was "not listened to, not respected, not consulted" on a matter of principle. When he realized he could no longer influence American action by adhering to his interpretation of Resolution 1441, Chirac became more confrontational and critical of any move toward war. Chirac had based his strategy on principle, and to concede a point of principle would have been a serious blow to French credibility. Thus, through his actions during the Iraq crisis, Chirac charted a more assertive, more combative course for French foreign policy over the next four years. The question is whether he will be willing to pursue any future diplomatic conflict to the extent that he did during the Iraq crisis and risk sacrificing his ultimate global vision — a multipolar world with Europe as one of its poles. ◆

"From the outset of the Iraq crisis, Chirac's actions incorporated a principled respect for the primacy of international law and the United Nations."

A LETHAL LEGACY

Kazakhstan's Former Soviet Biological Weapons Facilities

by Ted Wittenstein

The city of Stepnogorsk in northern Kazakhstan is not located on local maps, nor is it mentioned on the Russian road signs dotting the Central Asian steppe. But five hours from the present day capital of Astana, imposing buildings unexpectedly appear on the horizon, comprising the former Stepnogorsk Scientific Experimental and Production Base (SNOPB). SNOPB requires an extensive security clearance from the Kazakhstani government to enter. It is one of the largest biological weapons facilities ever created, once capable of producing enough antibiotic-resistant anthrax to annihilate the population of the United States.

Today, SNOPB is a mere remnant of its former self. Gone is the manufacturing infrastructure capable of producing 300 metric tons of anthrax bacteria per year. Yet also gone, and missing, are hundreds of Stepnogorsk's most skilled biological weapons scientists. Stepnogorsk, like other similar facilities in Kazakhstan, contains vulnerable supplies of materials and experts capable of producing weapons of mass destruction. And with the rise in global terrorism, there exists a new demand for these weapons and an increased willingness to use them.

Sophisticated, Secretive, and Deadly: The Soviet Program

In April 1992, Russian President Boris Yelstin acknowledged that the Soviet Union, and later Russia, had conducted a top-secret offensive biological weapons program in violation of the 1972 Biological and Toxin Weapons Convention. The United States had long suspected that the USSR engaged in such illegal activity, particularly after a suspicious anthrax outbreak in Sverdlovsk, Russia killed at least 200 local people in 1979. However, only later, through intelligence gleaned from prominent defectors, did the United States realize that the Soviet Union had developed the largest and most advanced biological weapons program in history.

Although the USSR had conducted biological weapons research since the 1920s, its program greatly accelerated in the 1970s, after the Soviet Union signed and ratified the Biological and Toxin Weapons Convention. In 1973, Secretary General of the Communist Party Leonid Brezhnev authorized the creation a new directorate, Biopreparat, to manage bioweapons development under the guise of a civilian-led scientific research initiative. Biopreparat received limited oversight and unlimited funding, establishing an intricate web of research institutes, production facilities and testing sites across Russia and the former Soviet republics. Although the scope of the entire program remains difficult to gauge, available information suggests that the Biopreparat complex consisted of over 40 facilities, employing 30,000 personnel across several Soviet ministries. Of the total employees in the Biopreparat administration, 10,000 had weapons-relevant skills, while approximately 5,000 had critical knowledge of all stages in the weaponization process.

Soviet bioweapons scientists produced sophisticated weapons for anthrax, plague, smallpox, glanders and tularemia, enhancing the virulence of these microorganisms through genetic techniques. And with the dissolution of the USSR and the continued instability of its successor states, the materials and expertise associated with Biopreparat became more accessible to rogue nations or terrorist groups.

Ted Wittenstein is a senior in Berkeley College. He researched this article with support from the Monterey Institute of International Studies, particularly Dr. Dastan Eleukenov and Dr. Tina Tishenko, and financial assistance from the Robert C. Bates Foundation, Smith Richardson Foundation, Jewett Foundation and Les Aspin '60 International Public Service Fellowship.

Hazardous Inheritance: Kazakhstani Components of the Program

In particular, integral elements of Biopreparat existed in the Soviet Republic of Kazakhstan, which became an independent country in 1991.With independence, Kazakhstan inherited four biological weapons facilities, each of which poses a unique threat to international peace and stability. The Soviet Union's collapse has resulted in the mysterious disappearance of approximately 1,800 personnel from these sites, while the facilities themselves are vulnerable to theft or accidental release of infectious disease. To further complicate matters, the convoluted, Soviet-era bureaucracy managing these facilities are characterized by political squabbles over nonproliferation assistance revenue and endless reorganization to benefit Kazakhstan's president and his supporters.

Situated in the middle of the Aral Sea, the northern part of Vozrozhdeniye Island is on Kazakhstani territory, while the southern two-thirds are in modern day Uzbekistan. While the Soviet Union began biological weapons testing on the island as early as 1936, a more sophisticated test site, referred to as "Aralsk-7," was constructed in 1954. The testing complex, located on the southern part of the island, was used for studying the dissemination of biological agents. Live experiments were conducted on horses, monkeys, sheep, and smaller laboratory animals such as mice. Biological agents tested included anthrax, tularemia, brucellosis, plague, typhoid, Q fever, smallpox, botulinum toxin, and Venezuelan equine encephalitis. Many of the pathogens tested were genetically modified strains that are resistant to existing medications.

In the summer of 1971, recently declassified Soviet documents reveal that an unreported outbreak of smallpox occurred in Aralsk, a Kazakhstani city on the northern border of the Aral Sea. Ten people were infected and three killed, almost certainly as a result of biological weapons testing. In 1991, the Russian military began to evacuate Vozrozhdeniye Island, dismantling infrastructure and burying vast quantities of anthrax and other biological agents underground.

A second facility, the Scientific Research Agricultural Institute, belonged to a separate group of Soviet biological weapons facilities that targeted livestock and plants. Located in Otar, 200 kilometers outside of Kazakhstan's largest city, Almaty, the Institute lies conveniently in the middle of a military base. The Institute once had over 400 experts in exotic plant and animal diseases, such as African swine fever, sheep pox, goat pox, herpes, and a variety of infectious fungi. In 1991, Moscow terminated all military research, leaving the Scientific Research Agricultural Institute without any funding. Today, the Institute still maintains a collection of viral animal diseases, eleven of which are highly dangerous, while 150 of its scientists are missing.

The Kazakh Scientific Center for Quarantine and Zoonotic Diseases was built in a residential neighborhood of Almaty to avoid U.S. satellite surveillance. In the year 2000, the U.S. Department of Defense finally installed a fence around the Center's perimeter. Established in 1949 under the USSR Ministry of Health, the facility was designed to monitor and prevent the spread of highly infectious diseases throughout Central Asia. Yet the Center, which employed 450 people in 1990, was also involved in military-related biological weapons research. Although the Center for Quarantine and Zoonotic Diseases conducted defensive research, such as developing vaccines and diagnostic tests, such countermeasures served an offensive purpose as well. Other components of the Soviet biological weapons program could use the Center's vaccine research to help produce anti-biotic resistant agents. Today, with a total personnel of only 135, the Center

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"Scientists aside, former Soviet biological weapons facilities are in miserable physical condition."

houses the largest pathogen repository in all of Central Asia: 1,000 strains of plague, 60 strains of anthrax, 300 of tularemia, and 300-400 of both brucellosis and cholera. But this tally is approximate, as the Center for Quarantine and Zoonotic Diseases has not been fully forthcoming with its totals. The Center insists that none of these strains are militarily doctored, although that has not been verified through genetic testing.

Finally, in the northern city of Stepnogorsk lies the aforementioned Scientific Experimental and Production Base (SNOPB). SNOPB was established in 1982 by a secret edict from Brezhnev, and functioned as the top-secret military component of a civilian facility, Plant Progress, that produced pesticides for civilian use. The Biopreparat administration assigned SNOPB the tasks of enhancing the virulence of anthrax and amplifying the country's capacity to manufacture the bacteria on an industrial scale. SNOPB personnel accomplished both tasks with chilling success. Scientists at SNOPB developed Anthrax 836, the USSR's main strain of anthrax, which was reproducible in large quantities and resistant to conventional anti-biotics. Furthermore, the facility's production capability was increased to almost unfathomable heights. By 1987, SNOPB had grown to 970 employees, about 350 of which were specialized biological weapons scientists. The facility could produce 300 metric tons of anthrax bacteria every ten months.

When Kazakhstan became an independent country, SNOPB remained under Moscow's control until 1992. During that time, the KGB removed many of SNOB's top-secret documents and took them back to Russia. Hundreds of Stepnogorsk's personnel left in several waves, and the facility splintered into several different administrative components. Today, a mere 260 employees work in the government bodies that comprise the former SNOPB.

Moreover, the Kazakhstani bureaucracy controlling all four of these facilities is staffed predominantly with officials from the former Soviet regime, all of who vigorously compete with each other for nonproliferation assistance from the United States. Such domestic political squabbles have inhibited U.S. efforts to secure the pathogen repository at the Center for Quarantine and Zoonotic Diseases.

Kazakhstan's Ministry of Education and Science negotiates nonproliferation contracts at this site, even though the Center is under the Ministry of Health. This is a source of great contention, as the Ministry of Health is unable to control finances at an institute within its jurisdiction.

Proliferation Threats, Health Risks, and Environmental Disaster: Kazakhstan Today

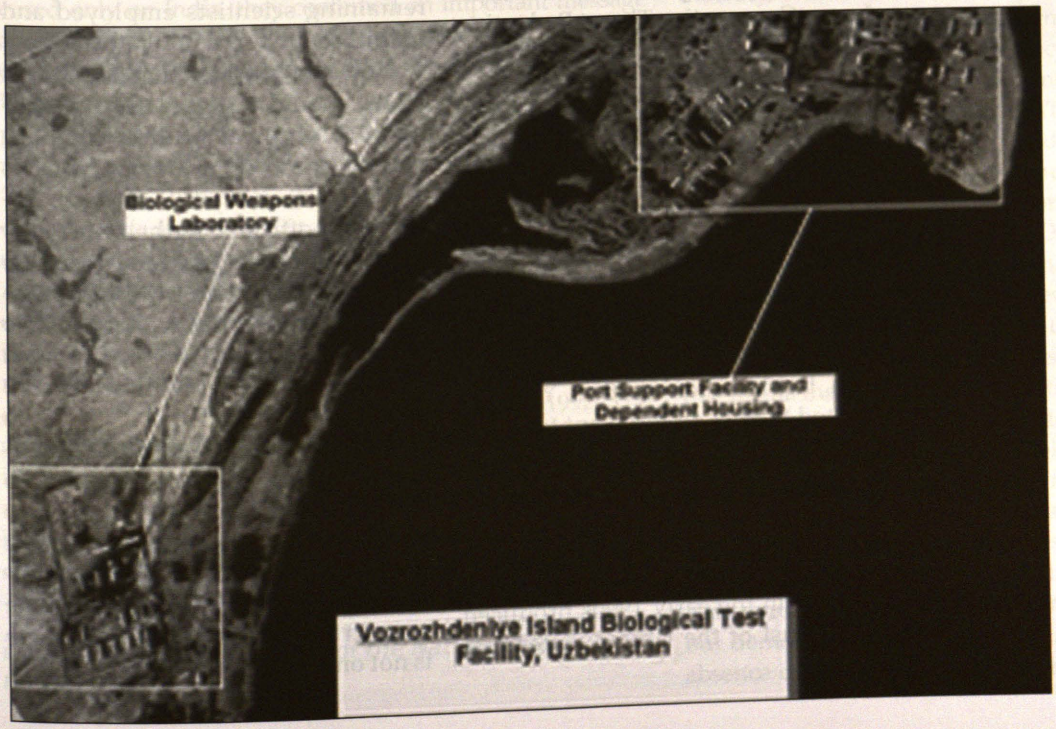
The proliferation threats associated with the Soviet Union's biological weapons program cannot be underestimated. As demonstrated in Table 1, the total number of employees at such sites in Kazakhstan has decreased by nearly three times their original number. A recent U.S. government report notes that countries of proliferation concern have attempted to obtain scientific expertise from at least 15 former Soviet biological weapons facilities since 1997.

It seems highly plausible that many successful attempts occurred without the knowledge of U.S. intelligence officials. Judith Miller of the New York Times has reported that Iranian middlemen, disguised as businessmen, visited Stepnogorsk in 1991. They presented scientists lucrative offers for unspecified biotechnology research, but were rebuffed by SNOPB's director. As a former SNOPB bioweapons scientist recently put it, "We went from having everything to having nothing in a heartbeat. We're getting desperate."

Scientists aside, former Soviet biological weapons facilities are in miserable physical condition, greatly enhancing the possibility of theft or accidental release of infectious disease. In touring the Center for Quarantine and Zoonotic Diseases in Almaty, these dangers are quite evident. Outdated and neglected biosafety and decontamination equipment are everywhere. In terms of physical protection, despite recent security upgrades by the U.S. Department of Defense, a man entered the facility on November 4th, 2002, apparently through the front gate in the middle of a working day. He intended to steal test tubes, but was detained, after getting dangerously close to infectious materials.

These concerns are compounded by the grave public health and environmental threats emanating from Vozrozhdeniye Island. There is a possibility that biological weap-

"Vozrozhdeniye Island could very well be the source of the world's next global health catastrophe."



ons material buried under the island's soil could be intentionally acquired or spread to the mainland via rodents or birds. The island is completely contaminated, and has expanded rapidly in the last four decades. In the early 1960s, Soviet planners diverted the Aral Sea's water sources for irrigation purposes. Since then, the sea has receded 70 miles. A small land bridge now connects the island to the mainland of Uzbekistan, and according to the Federation of American Scientists, individuals regularly venture onto the island in search of scrap metal. In the absence of a large-scale decontamination effort and the strengthening of local health systems to detect and combat infectious disease, Vozrozhdeniye Island could very well be the source of the world's next global health catastrophe.

"The United States must make a credible commitment to long-term nonproliferation efforts at these facilities."

No Room for Failure: The Role of the United States

Unfortunately, U.S.-funded biological weapons nonproliferation programs in the former Soviet Union are poorly financed, and received only $17 million in FY 2002, a miniscule portion of the vast U.S. Department of Defense budget. Furthermore, the Department of Defense, which implements the Nunn-Lugar Cooperative Threat Reduction Program to secure weapons of mass destruction in the former Soviet Union, is only geared towards physical threat elimination. Former bioweapons scientists, on the other hand, view nonproliferation in terms of economic development opportunities, and consider the conversion of weapons facilities to peaceful purposes as a requisite second step. "I am not against destruction, but I am for creation. You [the United States] do not want to build, only to destroy," said Valery Mogilny, who controls SNOPB as Director of Science in Kazakhstan's Ministry of Education and Science.

The failed conversion efforts at SNOPB in the early 1990s produced a mistrust of the United States that has had repercussions throughout the former Soviet Union. This mistrust fuels short-term political battles over nonproliferation assistance, as former Soviet scientists and bureaucrats believe the U.S. will only dismantle facilities and leave scientists unemployed. Those who control former bioweapons facilities throughout the region are thus unwilling to go forward with nonproliferation efforts in the absence of guarantees for conversion in return. Provided that former Soviet governments are willing to support the conversion process in a coherent way as outlined above, the United States must make a credible commitment to long-term nonproliferation efforts at these facilities.

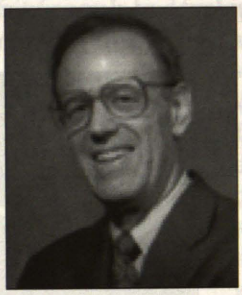
Preventing the spread of weapons of mass destruction is a central element of U.S. national security policy, and must be actively pursued abroad before threats manifest themselves at home. With an indefinite U.S. military presence in the heart of Central Asia following the September 11th attacks and subsequent invasion of Afghanistan, this objective has taken even greater importance. Not only in Kazakhstan, but in the former Soviet Union as a whole, biological weapons facilities must be properly secured, their infrastructure dismantled, and their remaining scientists employed and monitored.

However, the idea that the United States should mitigate the possibility of biological attacks through means short of military force is anathema to many U.S. Defense Department officials. In their view, the United States should only focus on forcefully disrupting the individuals and regimes that are responsible for producing and procuring such weapons. Yet there will always be terrorists or regimes that threaten U.S. interests. While eliminating terrorists or rogue governments is an admirable goal, nonproliferation policy in the former Soviet Union can limit their ability to inflict damage on a cataclysmic scale. But as the war on terrorism progresses, time is not on our side. ♦

A UNIVERSAL VALUE

The Benfits of Accountability in Developing Nations

by Carl Gershman



On the occasion of India's 50th anniversary in 1997, the New Delhi-based Centre for the Study of Developing Societies (CSDS) conducted a national survey assessing popular attitudes toward Indian democracy. The results constituted a stunning rejection of the common belief that the Indian people had lost faith in the country's democratic system. On the contrary, wrote Ashis Nandy, the director of the CSDS, "The democratic system enjoys greater legitimacy today than in the past. The poor and the deprived defend democracy more vigorously than the elite." Democracy's appeal, he said, owed a great deal to the Indians' belief that its inclusiveness offered the best way to deal with the country's staggering ethnic, religious, linguistic, and regional diversities. The poor especially value democracy, according to Nandy, because they are convinced that "their votes matter," and they seem to relish exercising their franchise in defiance of their professional well-wishers among the more affluent classes who have their own ideas about what the poor need.

While the CSDS survey and Nandy's commentary focused only on India, they contained an important message about the importance of democracy to the peoples of other countries in the developing world. At the time the survey of Indian opinion appeared, Lee Kwan Yew and some other political leaders were advancing the argument that democracy was a Western system unsuited to Asian culture. This "Asian values" thesis was given a respectful hearing in elite circles in Asia and in *Foreign Affairs* and other Western publications. Its credibility was buttressed by the strength of East Asian economies that seemed to suggest that systems based on dominant parties, unaccountable elites, and large corporations favored by the state offered a rapid route to development for non-Western countries. This thesis quickly went out of fashion with the Asian financial crisis of 1997. The absence of democratic accountability and the transparency in the principal institutions of government and finance significantly helped to cause this. Suddenly, the views put forth by Nandy and other proponents of democracy in the developing world gained new force and a wider hearing. Democracy was seen to have as much relevance in Asian and other developing countries as in the West, not just as an effective system of governance but also as the way to achieve a better life for ordinary people.

The idea that ordinary people in developing countries benefit from democracy and, therefore, desire it and are willing to sacrifice to achieve it is still not widely understood or accepted in the established democracies of the West. Though we live in a period of globalization, most people in established democracies have little contact with the developing world. What they read about in the press or see on television are often disasters of one kind or another, leading to the view that many countries may not be fit for democracy. The economist and philosopher Amartya Sen has a ready answer for this view: "A country does not have to be deemed fit *for* democracy," he writes in an essay entitled "Democracy as a Universal Value" (*Journal of Democracy*, July, 1999); "rather, it has to become fit *through* democracy."

How democracy can help a country become "fit" is a complex and subtle process that doesn't lend itself to news-bites. Let me suggest seven ways that democracy contributes to this process. **First, the citizenry must acquire the means to hold governments accountable for their policies and integrity.** The political scientist Larry Diamond has written that "predatory, corrupt, wasteful, abusive, tyrannical, incompetent governance is the bane of development." There is simply no way to control or eliminate corruption if people don't have access to the fundamental institutions of democracy: a free media that can expose corruption, an independent judiciary that can punish its perpetrators, and a system of free and fair elections that can hold political leaders accountable and, where appropriate, kick the rascals out. This does not mean that democracy will automatically reduce corruption or produce good governance. Responsible governance requires political will, effective institutions, professional officials, and an informed, alert, and aroused citizenry. But without democracy, none of these things are possible and the absence of political and legal restraints leads inevitably to

Carl Gershman is president of the National Endowment for Democracy.

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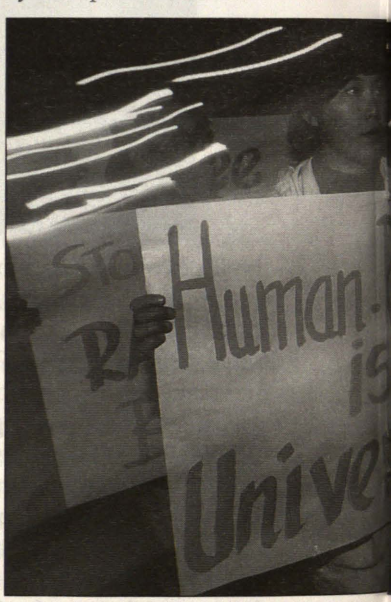
Economic development and prosperity must be promoted. In the past, the conventional wisdom has held that development and prosperity encourage democracy, as better-off citizens become more educated and have the ability to participate in politics and government. More recent analysis shows that the causal effect also works the other way around - democracy fosters development. This is a principal conclusion of the *Human Development Report 2002*, published by the United Nations Development Program, which notes that "democratic governance can trigger a virtuous cycle of development - as political freedom empowers people to press for policies that expand social and economic opportunities, and as open debates help communities shape their priorities."

In fact, research has shown that democracy not only helps people influence government policy but aids development in even more fundamental ways by fostering productive economic activity. Richard Roll and John R. Talbott, in a study published in the *Journal of Democracy* (July 2003), conclude that more than 80 percent of the cross-country variation in per capita income growth among developing countries (using data compiled for 1995-99) can be explained by factors that are aspects of democracy such as: the presence of strong property rights, political rights, civil liberties, and press freedom. They also found that dramatic increases in per capita income in developing countries tend to follow democratic events (such as the removal of a dictator), and that antidemocratic events tend to be followed by a reduction in economic growth.

The variables that contribute to economic growth share two characteristics. First, they represent institutions and policies that establish a rule of law enforced with fairness and justice. This encourages economic participants to work, take risks, save, and engage in other forms of productive economic activity. Secondly, the variables constitute forms of collective action at the level of government - the enforcement of contracts, the protection of political and property rights, and the collection of taxes that can be used for public services. Such actions constitute important components of democratic governance, which explains why developing societies have so much to gain by establishing democratic systems.

Democracy helps the people in developing societies by giving them the means to influence the actions of their respective governments in countering the effects of economic and social disasters. Here we are especially indebted to the work of Amartya Sen, who has shown that "in the terrible history of famines in the world, no substantial famine has ever occurred in any independent and democratic country with a relatively free press." The reason is that democracy, by empowering people at the grass roots, gives governments the *political* incentive to guard against famines or to take preventive measures to relieve human suffering if there is a danger of mass hunger. Precisely because famine or other kinds of disasters would be fatal to the citizens, not taking protective measures would be fatal to any government in a situation where the people are in a position to register their views. The *protective power* of democracy, Sen points out, might not be missed when things are going smoothly, but it becomes critically important to the most vulnerable parts of the population when a calamity looms that may arise from changed economic circumstances or accumulated policy mistakes.



Democracy helps developing societies become "fit" by stimulating governments to promote the health, education, and overall well-being of their citizens. A study conducted by Patricio Navia and Thomas D. Zweifel (*Journal of Democracy*, July 2003) shows that since the end of the Cold War, the infant mortality rate in democracies (45.9 per 1,000 live births) is significantly lower than in nondemocracies (50.5). Navia and Zweifel conclude, "At an equal level of development, on average five out of every one thousand newborns will die

only and needlessly because the land of their birth is not democratically governed." Even benevolent dictatorships, they find, are always outperformed by democracies for the simple reason that democratic governments are naturally more responsive than dictatorships to the needs of the people and are thus prepared to invest in social services to improve the citizens' quality of life.

The fifth way that democracy enriches the life of people in developing societies is by promoting peace, both between states and within them. The idea that democracy is a pacifying force owes a great deal to the work of R.J. Rummel, whose multivolume work, *Understanding Conflict and War* (published between 1975-81), concluded, "Violence does not occur between free societies."

Immanuel Kant had reached the same conclusion nearly two centuries earlier in his essay "Perpetual Peace," where he noted that if "the consent of the citizenry is required in order to determine whether or not there will be war, it is natural that they consider all its calamities before committing themselves to so risky a game." Greater sensitivity to the cost of war is just one of the ways in which democracy fosters peace. James Lee Ray, in an essay entitled "The Democratic Path to Peace" (*Journal of Democracy*, April 1997), has also emphasized democracy's capacity to moderate the day-to-day relations among states, thereby preventing crises from developing to the point where they have to be peacefully resolved.

Democracy makes it possible for people in developing countries to learn from one another through public discussion, thereby facilitating the definition of needs, priorities, and duties. Sen calls this the *constructive* role of democracy since it involves the formation of values and the generation of "informed and considered choices." Through public discussion, he notes, the people of the Indian states of Kerala and Tamil Nadu have come to understand and internalize the harmful effects of high fertility rates on the community and on the lives of young women. The result is that Kerala now has a fertility rate similar to that of Britain and France and lower than China's, a result achieved without coercion. Having people take ownership of an approach to solving a social problem through the formation of new values is ultimately far more effective than having a solution imposed or mandated by the government or by international assistance agencies. Such constructive action can't happen without democracy.

The seventh and final reason democracy is important to people in developing countries is that it enriches their lives as citizens and recognizes their dignity as human beings. Sen calls this the *intrinsic* value of democracy. People value political participation in the life of the community *for its own sake*, not because it advances a practical purpose. To be denied such participation, Sen writes, is "a major deprivation" since "exercising political rights is a crucial part of good lives of individuals as social beings." As we have seen, freedom serves many purposes since it makes it possible for people to defend their interests, expand their potential, and create new opportunities for themselves, their families, and their communities. This is what is meant by "the pursuit of happiness." But human freedom does not require an instrumental justification. It is important *in itself*.

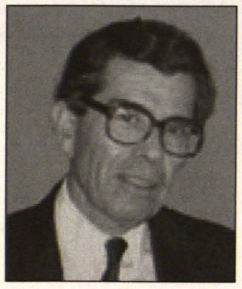
Throughout the developing world there are people and organizations that are prepared to make great sacrifices in the pursuit of democracy, human rights, and political freedom. The courage and perseverance of democracy activists in Africa, women's rights activists in the Middle East, and human rights defenders in Burma and other Asian autocracies refutes the notion that democracy is a Western system without appeal to people in the developing world. In fact, the very opposite is true. Not only is democracy needed and desired by people in developing countries, but their devotion to democracy often puts to shame citizens of the established democracies, who too often take democracy for granted and have become somewhat jaded in their appreciation of democracy's benefits to their own lives. ♦

"Greater sensitivity to the cost of war is just one of the ways in which democracy fosters peace."

COMPLEX LEGAL SYSTEMS

Developing Nations and Modern Law

by Don Wallace, Jr.



The complexity and inefficiency of the legal systems and institutions in the developing world has become a subject of great attention. This general interest in law and its problem, pervasive in the United States, is quite recent. To be sure, some members of the British colonial services and the anthropologists in their employ thought about land tenures and family status. Lord Macaulay was at work on legislation in India in the nineteenth century, and there were other such activities. But this was a specialist interest. In the developing countries, at least those set on an independent course, reform of law and especially the reception of foreign laws was important. In this way, Turkey developed its modern legal system in the 1920s. The collapse of the Soviet Bloc and the Soviet system has brought the issue of law front and center. In the last decade, the World Bank, a principle engine of foreign interest in the development of countries, concluded that its mission of economic development might include issues of "governance," of which judicial and legal development has become a part. Law and the legal system are surely an integral element of a society and its development. Our current prescription for all societies - democracy, market economies and civil society - and the rule of law seems to recognize this fact.

What do we mean by "law" and the "rule of law?" The former might mean law to be used by a society and its government as an instrument of control as through police courts, to raise taxes, and to see that contracts are enforced. The latter might encompass these as well, but may be thought to extend to law which governs the governors and controls government and the state, as through a constitution, and which is enforced by courts and an independent judiciary.

A country usually has lots of laws: a constitution is an example of public law, as is tax law; contracts and family law are examples of private law. What generalizations can we make about the problems with both the private and public laws of many developing countries in the world? What do they lack? Of what might they have too much?

It is probably accurate to say that no developing country extracted a Magna Carta from its ancient rulers; the United States didn't either, but as a successor to the United Kingdom, and there are a few other such countries, we have the benefit of it. The Great Charter that the magnates, or aristocracy, extracted from King John at Runnymede in 1215, in which he undertook some obligations to his subjects, limiting to a degree his arbitrary power. Since then, the Unitd States, United Kingdom and other developed countries have developed effective means to limit state power and enhance checks and balances on personal liberty: the separation of executive, legislative and judicial powers, the independent judiciary, bicameralism, federal systems of divided powers, constitutions, entrenched bills of rights - which all work in a way that human rights documents may not. In the words of former U.S. Supreme Court Justice Louis Brandeis, these devices prevent tyranny at the price of limited efficiency. Sadly, many developing countries do not have a Magna Carta in the legal traditions of the past.

Let me continue a bit longer in this possibly offensive, Anglo-American-centric way. A Russian friend, a distinguished and important lawyer, once said to me that he "loved the common law." What did he mean? Surely a country can be developed and successful and have a system of law (largely dealing with private law matters such as property, contracts, commerce and the like) without having English and American style of law, as opposed to a continental European law system, or civil law system. It is true that there are magnificent civil law countries like France, Germany, Japan - and possibly Russia. But in truth, when it comes to the economic and commercial matters so crucial to development, the common law systems do provide greater flexibility, less state intervention, greater hospitality to

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market forces and a legal mentality more conducive to development.

I will take an example from personal experience which deals with an important subject: the provision of infrastructures and public services. I have been an American delegate to the United Nations Commission for International Trade Law (UNCITRAL) for many years. We have just finished work on model legislative provisions and a related legislative guide for privately financed infrastructure projects. It is addressed principally to developing countries and assists them in creating the necessary legal framework to attract private capital and participation, whether foreign or domestic, for projects involving electric power, roads, telecommunications, water, hospitals, and other essential public services. One of the most difficult questions during our years of work often pitted the common law delegates against mainly French civil law delegates. The common law delegates pressed for maximum freedom of contract in working out these so-called "build, operate and transfer" (BOT) deals in order to attract the capital indispensable to start these projects, which are themselves indispensable to economic development).

The civil law has a venerable tradition of administrative law dealing with so-called concessions for infrastructure and the related public services. This can give government unilateral powers to intervene in projects to ensure continuity of service; it also gives exclusive power to administrative courts, including the Council of State, to resolve legal disputes with respect to such concessions. While in theory admirable in protecting public services, the reality in developing countries is that such civil law tradition can make projects not "bankable." The prospective investors (and their bankers) fear that a government will unilaterally upset a project (e.g. make a two-lane road into a four-lane highway, vitiating the financial viability of the project) and that disputes will be decided by pro-government courts. This system has

stymied the development of BOT and private finance and investment (PFI) projects. To take an example, Turkey had to go so far as to amend its constitution so that individual investors could negotiate a reduction in such unilateral government power and submit disputes to neutral arbitration) in order for such projects to proceed efficiently.

Many developing countries, whether civil, common law or otherwise, are lacking in modern law, especially in economic and commercial fields. Bodies like UNCITRAL are at work preparing models for them dealing with all manner of subjects, such as the aforementioned PFI projects, public procurement, electronic commerce, arbitration, security interests, insolvency etc. These efforts and others are intended to advance the "efficiency" of countries while hopefully not adding to "complexity." The good laws replacing out of date, contradictory or merely deficient laws should in fact simplify things, especially if these laws are properly implemented, which is beginning to happen in many countries as education and training take hold. Broadly speaking, current wisdom holds that for social and economic reform to work, a country must have a system of property rights, and a system that permits freedom of contract(ing). In example, a law allowing a security interest (a lien or mortgage) in computers bought for a small business on credit

"The good laws replacing out of date, contradictory or merely deficient laws should in fact simplify things."

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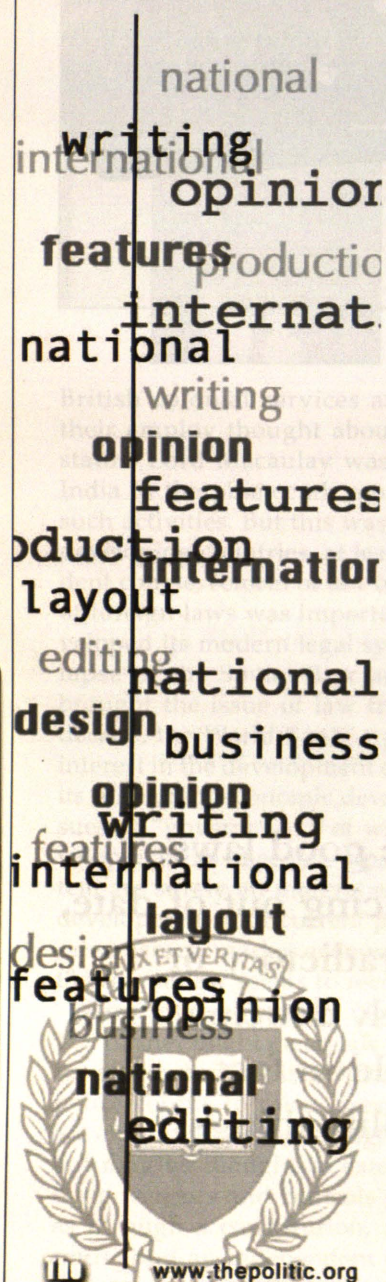

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helps small business development. Many countries lack such adequate security interest law. This example illustrates one of the reforms that Hernando de Soto has suggested can liberate the energies of many potential entrepreneurs in developing countries.

In many developing countries, neither courts nor lawyers perform well; here we have an example of inefficiency. Self-confident and competent judges are essential to an independent judiciary that can uphold the liberties and the contracts called for by the law. In some countries, judges have been under the thumb of government; in some they are ill-trained; in many, they are poorly paid and susceptible to pressures and temptations. In civil law systems, the judiciary is recruited from recent university graduates in the manner of civil servants; while this can create an extremely competent and professionalized body of judges, it can also create rather cautious judges. In many countries, the absence of juries in criminal cases removes a check on the magistrates and judges, who can be either too beholden to governments or too willful (rather than too cautious). The procuracy, or prosecutors, in countries of the former Soviet system, sometimes have too much untrammeled power and therefore dominate judges. Also, a prosperous, competent, independent profession of lawyers – the source of advocates of liberty, strong judges (in the US and UK judges are typically drawn from their ranks) and capable advisors for private transactions - is often absent. Legal education often needs to be sharpened and made more relevant.

Observers of legal systems in developing countries, often foreigners, sometimes summarize their observations by saying, "we want enforceable contracts." Of course, there may be many reasons why there are not: the parties may have negotiated badly or the applicable law may be deficient; but what is usually meant is that the courts are bad, the judges and procedures inadequate, and there exists no alternative dispute resolution (ADR) mechanism (e.g. arbitration) available (ADR is coming into being in some places, albeit slowly). Law reform and improved court systems that also accept ADR should change that. Ridding a country and its officials of corruption is harder; increasingly, societies, governments, donors and other foreigners are paying attention. This is not unrelated to the desperate need of developing countries, pace to some non-governmental organizations (NGO), for trade and investment, both domestic and foreign. Thus they join the World Trade Organization (WTO); they then are urged by the WTO, the United Nations and others to open and make transparent their government procurement markets. They see that they must sign on to the global economy and its rules and best practices, hesitations and reservations notwithstanding.

This brings us to an aspect of the condition of many developing (and developed) countries that can be both "complex" and "inefficient:" their government bureaucracies. It was not always so in all places. Some colonial civil services were both small and rather efficient. But with the growth of populations, economies and regulations that are often ill thought-out or deliberately interventionist, socialist or merely inherited, government often became an impenetrable tangle (e.g. cases where different ministries would apply the same rules in wholly different and unappealable ways). It became a source of employment, not always of the best people. Many governments have not had a tradition of openness - one thinks of the Chinese nembu, with rules known only to the officials and not to the public that is subject to those rules. This must, and in some places is beginning to, change.

Law alone cannot be changed so as to improve and save a society. The economy; the social structure and disposition of power; and the political system are all key. Law, more so in some areas than others, reflects the configuration of moral and political preferences of a society and its peoples. Many, if not most, societies are now striving to make their legal systems and institutions less complex and inefficient. ♦

GLOBALIZING PROPERLY

by Anne Krueger

They first came to prominence in Seattle in 1999; since then, they've been in Prague, Washington, Genoa and, in early September, Cancun. "They", of course, are the anti-globalization protesters without which few international economic meetings now take place. Their complaints are many, but tend to focus on the pain that the process of globalization allegedly inflicts on the world's poor.

The economic evidence contradicts many of the protesters' assertions. In the past few decades, globalization has provided huge monetary gains for most of the world's citizens, including the poor. However, the misgivings of many of the protesters are valid. National and international leaders should examine how policies can be shaped to maximize benefits for at a lower cost and to address the critics' legitimate concerns. If successful, these changes can raise economic welfare. The International Monetary Fund has an important role in achieving this objective.

The IMF was established not only to help preserve international economic and financial stability, but also to foster the expansion of international trade. Economic stability is essential if countries are to experience sustained rapid economic growth and increases in living standards. But it is no coincidence that the rapid growth enjoyed in most parts of the world since the end of World War II was accompanied by enormous increases in international trade driven by progressive trade liberalization. The multilateral trading system, established in tandem with the Bretton Woods institutions, has been responsible for the gradual dismantling of tariff and non-tariff barriers which has brought about rising prosperity for so many.

The rich nations of the world have undoubtedly benefited from the expansion of trade and growth. But as the evidence clearly shows, so have the world's poor countries. A wide range of indicators shows that a large proportion of the world's population has become better off, at a faster pace than ever before. Infant mortality has declined sharply. Literacy rates have risen to more than 70%. World poverty has declined and life expectancy in developing economies is now, on average, about 65 years, only 10 years less than that in industrial countries. All poor countries that successfully transformed themselves into industrial economies — Korea, for example — relied on international trade as a major vehicle for growth.

Such improvements should not lead to complacency. Much remains to be done: the extent of the challenge is clearly illustrated by the Millennium Development Goals agreed upon by the United Nations in September 2000. Meeting those objectives, which include both ambitious targets for poverty reduction and the provision of universal primary education, is a challenge for us all.

Preserving the multilateral trading system, and continuing to dismantle trade barriers must remain a key focus of economic policy to preserve the benefits of globalization and to further reduce global poverty. The rich nations who have already gained so much from trade liberalization have a responsibility to help: export subsidies should be reduced and ultimately eliminated, price supports must be replaced by income supports, and those wealthy countries must also open their markets to the exports of developing countries.

But in many cases, barriers to trade among developing countries are even higher than those applied by rich nations on the poorer countries. So, developing economies also have their role, one that will bring them enormous gains. Trade flows among developing countries are increasingly important — almost 40% of their exports now go to other developing countries. Those countries will reap most of the benefits from significantly lowering their own trade barriers. Many of these countries are apprehensive about the potential costs of lowering trade barriers in the context of a hopefully successful outcome to the Doha round of trade negotiations.

Based on past trade liberalizations and from preliminary research, the IMF does not expect the temporary costs of adapting to a Doha settlement to be significant for the vast majority of countries. The lowering or elimination of tariff and non-tariff barriers as a result of a Doha agreement would take place over several years; this in itself mitigates many of the potential impacts.

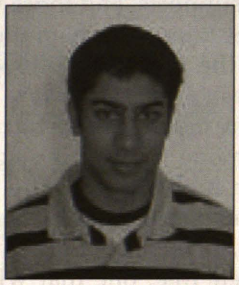
The IMF recognizes that such assurances will not put all minds at rest. So, the Fund has recently launched a new initiative aimed at providing support for countries that may face difficulties with short-term balance of payments as they adapt to the further trade liberalization resulting from a successful Doha process. The Fund is now providing a contingent insurance so that no country should feel unable to commit to further trade liberalization.♦

Anne Krueger is First Deputy Managing Director for the International Monetary Fund

EFFICIENT NATION BUILDING

The Economics of Rebuilding Iraq

by Raghav Chopra



When President Bush requested from Congress an additional $87 billion for Iraq in September, he attracted a great deal of controversy. Paradoxically, it was less the amount than the policy that encountered opposition. Over the past year, the divisive issue of waging war itself has been the root of numerous major protests and has been a focus of media attention. Since the formal end of the war, it has become the U.S.-led attempt to reconstruct a new Iraq that has been contested. However, while the moral and diplomatic arguments regarding war and now postwar redevelopment in Iraq have been made passionately by hawks and doves alike, neither side has developed a sound case based on economic rationale.

Once individuals feel free in the marketplace, they realize that they have opportunities to make a living. In Iraq and elsewhere, successful nation-building is in large part the creation of an open and thriving marketplace. The promotion of favorable economic conditions is in many ways the cornerstone of democratization, for the language of profitability is one that is universal. It is the promise of a better economic future that should be the primary selling point for the United States when it pitches a new, democratic way of life to the Iraqi people.

A sound Iraqi economy is far from established, even as it is critical to effectively rebuilding the nation. From the very moment that President Bush proposed war against Iraq, the efforts of the United States have been singularly geared to bringing order to Iraq and restoring civil liberties. Offering humanitarian relief to a victimized people continues to be crucial, but alongside that development it is odd that immediate steps have not yet been taken to preserve a degree of economic stability as well. The inflationary trends and currency devaluation that have occurred has severely debilitated the purchasing power of the Iraqi people. It is ok for the U.N. humanitarian relief efforts and U.S. peacekeepers to keep providing food and supplies to Iraqis, but obviously aid cannot be supplied indefinitely. If the Iraqi people are increasingly incapable of supporting themselves due to runaway inflation, it is in the best interest of the interim U.S.-led occupying force to address this problem.

Though providing short term relief to Iraq is vital for the United States, the fundamental goals of nation-building also call for looking at the long-term horizon. In this case, it may signify shifting from the mindset of furthering immediate political goals, to a sharper focus on fostering economic sustainability and stability. Once people are economically sufficient and see prospects for growth, they will behave rationally in supporting or even designing a fair and democratic government. However, if they remain plagued by financial woes, the Iraqi people's increasing desperation may amount to hastily supporting another demagogue. By taking advantage of widespread impatience and anxiety, a Saddam Hussein-like individual could well rise to power. Right now, the patience of Iraqis is wearing thin, and the latter scenario is one the United States must strive to avoid at all costs. To effectively win the confidence of the newly liberated Iraqis, it is imperative that the United States not only relieve them of suffering, but also instill a belief in the likelihood that the improvements are there to stay. The best way to accomplish this is economic rejuvenation through job creation.

Throughout the course of the war and ongoing reconstruction, the consequential issue of financial accountability has also been neglected. If one considers that much of the social unrest presently plaguing Iraq has its roots in widespread financial panic, this policy of neglect seems especially ill conceived. Moreover, the continued reconstruction is highly dependent on current contributors and benefactors understanding the terms of their aid to Iraq. These terms are unsettled in many regards, because donor nations are still in the dark on whether the international community will ever put pressure on Iraq to reconcile some of its former debt. With this uncertainty lingering, nations can hardly wa-

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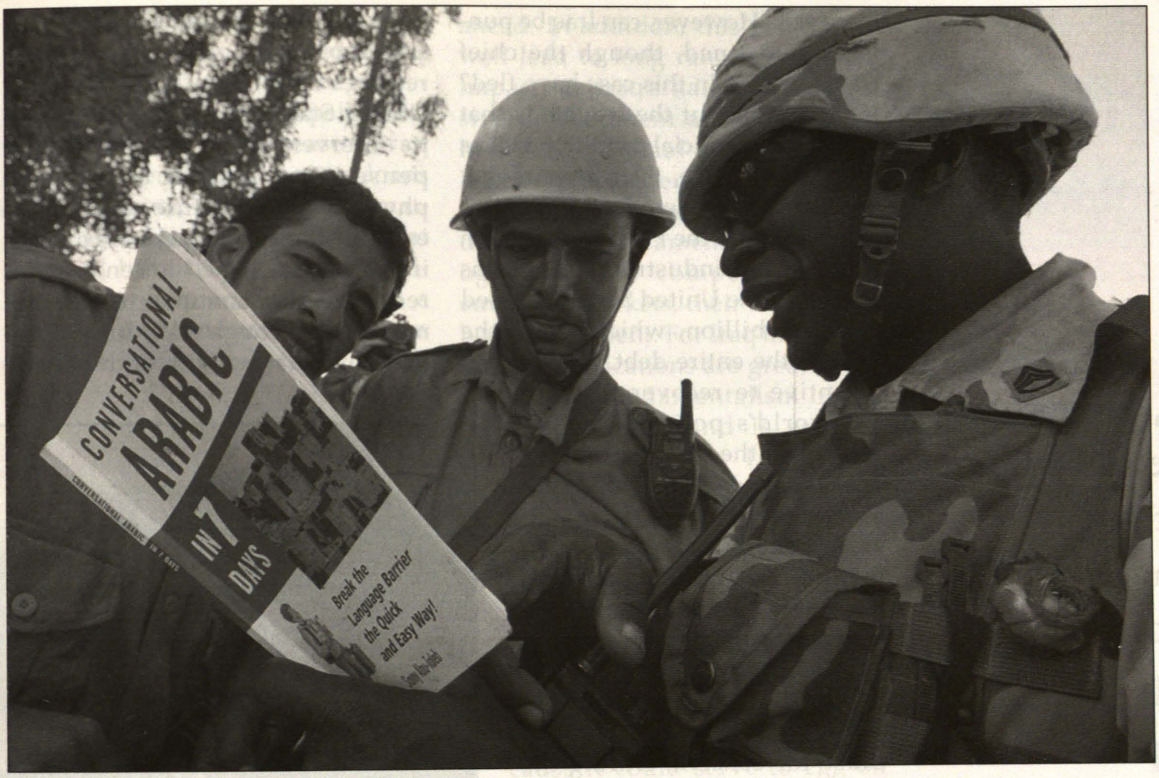


ger as to what sort of restitution they may receive from losses they incurred during the Iraqi collapse. In addition, they cannot judge whether or not their contribution to Iraqi reconstruction will give them any sort of diplomatic mileage. If Iraq's debt is not written off, these nations will share an unhealthy creditor-debtor relationship made worse by heavy amounts of debt from decades earlier.

Many European nations in particular have exhibited hesitation in helping with the reconstruction effort. It is worth noting that their hesitation stems not from their initial opposition to the war itself, but rather from Iraq's unfulfilled loan obligations and existing financial liabilities. Their legitimate complaints against Iraq—that it has had to default on its enormous loans—have created a problematic state of affairs. On the one hand, it was highly decadent behavior for these nations to engage in loan offerings to a corrupt dictator such as Saddam Hussein. It is also necessary to recognize that, in many instances, the motivation to deal with Saddam Hussein likely stemmed from the desire of these countries to profit quickly and heavily from Hussein's economic recklessness. But on the other hand, it is impossible to judge the intentions of these countries and private entities that engaged in economic deal-making with Saddam Hussein. In the end, good and bad alike were burned, and one can only speculate as to their original objectives. Within a free global economy, investing in another nation—even if it is a human-rights-violating dictatorship—may be unethical, but is certainly not criminal.

Contractually, these creditors have legal guarantees to get back money that is rightfully theirs. In principle, they should have no problem, but practically speaking, their claims are most likely going to go by the wayside. Sorting through the collapsed rubble of Saddam Hussein's regime brings forth some clues as to who owes what to whom, but circumstantial complexities make the analysis quite far from straightforward. If one delves into the current financial state of Iraq, one finds most knotty the issue of investment risk. Because Iraqi financial reporting was to a large extent falsified, it misled investors who did their due diligence to gauge invest-

"Within a free global economy, investing in another nation—even if it is a human-rights-violating dictatorship—may be unethical, but is certainly not criminal."

ment risk. However, can Iraq be punished and fined, though the chief transgressors in this case have fled? It is possible but the trouble is that Iraq's poor financial condition makes economic justice, even if pursued, impracticable. There is also a political slant, since the Paris Club (which consists of 9 industrialized nations including the United States) is owed only $26 billion, which is not the bulk of the entire debt. Because the incentive to recover debt for the world's political heavyweights is the least, recovering debt for anyone at all becomes less likely.

"To date, Iraq's aggregate debt has climbed to approximately U.S. $383 billion."

The death and devastation that has ravaged Iraq and impaired its political reconstruction over the past several months is alarming. However, Iraq's dire financial situation could well be an even greater cause for concern. During the rule of former Iraqi dictator Saddam Hussein's regime alone, Iraq accumulated an estimated U.S. $200 billion worth of outstanding debt. Given its budget and natural and capital resources, Iraq had for many years been in desperate need of a dramatic turnaround to heal its unhealthy and disproportionately large national debt. It would have needed decades of double-digit GDP growth to make any sort of headway in paying its dues. Now, things have only grown worse for Iraq, and its continuing economic instability certainly does not bode well. Moreover, complicated questions arise as to how this astonishing level of financial obligation should be addressed—by the international community, the United States' led coalition rebuilding Iraq, and by the Iraqi people themselves.

To date, Iraq's aggregate debt has climbed to approximately U.S. $383 billion. This means that even all the oil revenue Iraq could generate in a year, given U.N. sanctions, would not be enough to pay the yearly interest off its debts. Additionally, the $10 billion it would gain from the sale of oil each year would hardly be enough to sustain half of the massive rebuilding efforts it currently requires on an annual basis. As the United States has learned through its intervention in Iraq, major expenses are incurred not only in physical infrastructure, but also in establishing basic level bureaucratic infrastructure. The hidden costs of reconstruction continue to crop up, making the rough $383 billion figure slowly larger with each passing day. The United States will reportedly need between $90 billion and $150 billion to continue its redevelopment effort for just one additional year.

The most viable solution to the problem, it seems, is allowing Iraq to proceed without having to worry about its outstanding financial obligations for the moment. With greater concerns occupying country, the emphasis should be on reaching a certain economic threshold. This would be a level where the country does not drastically require international aid (less than a total of $1 billion per year), and when the gross domestic product reflects an annual

growth of at least 5 percent per year. At this stage, Iraq will be equipped to continue forward and begin repaying at least the principals of its previous loans. The reason Iraq ought to eventually repay its loans at all, however, goes beyond a matter of righteousness. Affirming that Iraq will have to pay back the billions it owes in loans will send a message to economically careless dictators around the world: it will show them that their country will be held financially accountable for its actions.

In addition, Iraq should repay loans at a later date because multinational corporations and institutional investors in Iraq who have been burned by the collapse of the previous regime have, as one would expect, become wary of ever again doing business in the area. If these governments and large investors are dissuaded from returning, equity and foreign investment in Iraq will be impossible to build. This would leave Iraq a straggler for decades more as the global economy forges ahead. In addition, this could very well lead to long ranging negative impacts in Iraq's national progressive development and could even hamper its social liberalization. When one considers the role of large international corporations in introducing modern amenities, technology and free competition into emerging markets, their importance becomes evident. For Iraq in particular, the implications are greater. Religious fundamentalism of the dangerous brand is still en vogue with many Iraqis, and foreign influence in the form of modernization is the finest way to suppress it.

In the face of a laggardly global economy, the geopolitical uncertainty regarding Iraq's financial liabilities is one that should be addressed. Writing off Iraq's massive debt is dicey, because it could serve to egg on other ruthless dictators around the world to spend exorbitantly like Hussein. Conversely, making Iraq cough up every last bit of its assets to pay its debts would be little more than an exercise in futility. Caught between a rock and a hard place, the international community should see that a balance between these extremes is ideal. The priority should be rebuilding Iraq, with a firm commitment to eventual debt consolidation.

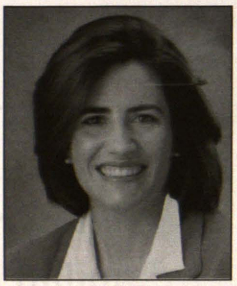
In order to make Iraq a successful enterprise, the United States and its partners will need to make sure that Iraq can leverage its strengths to grow as fast as possible. Once the economy is on solid ground, the time will come to address some of the legitimate claims to debts Iraq has incurred over time. Instead of wallowing in despair because of the seemingly insurmountable debt, the Iraqi people and its nation-builders should be compelled by a sense of immediacy to overcome the challenges before them. These debts are stumbling blocks today, but can become stepping stones tomorrow, for they will help Iraq restore and rebuild credibility in the international arena. ♦

"Affirming that Iraq will have to pay back the billions it owes in loans will send a message to economically careless dictators around the world."

THE NEW LEFT

Toward a Revitalized Democratic Party

by Stephanie Sanchez



Many Democrats are pondering how the party will realize its objectives without having control of a single branch of government. Advice comes freely—even from people across the aisle such as Tucker Carlson." In a recent memo in the *New York Times Magazine*, Carlson mockingly advised Democrats to "quit being losers." As a Democratic activist, I experience the problem everyday. We go from election to election without stopping to think about what our party really stands for. Democrats are by definition a loosely affiliated group which encapsulates a range of different ideas and priorities. There is a famous quip that goes "if you do not want to join an organized party, join the Democratic Party."

With a presidential election fast approaching and the world in turmoil, young Americans more than ever have a stake in politics. Young Republicans, dubbed "young Hipublicans" by the New York Times Magazine, are nationally recognized as an augmenting political force. Now it is time for young Democrats to answer the call. College Democrats of America and Young Democrats of America are but two examples of organizations that exist to help elect Democratic candidates and train future Democratic leaders. Another group of young Democrats recently convened in Washington, DC to develop a master plan for the year 2020 detailing the kind of world we want to live in and the policies that will get us there. As one of these people know nationally as 2020 Democrats (2020Democrats.org), I was inspired by the opportunities that we have to redefine our party and help restore the American Dream.

As young adults, we may not yet be in a position to make important public policy changes. However, we do have influence. As a group willing to be the heart of an energized Democratic Party, we possess the idealism, perspective, and desire necessary to impact the party. And why wouldn't we want to be involved in our destiny — we will be living with the consequences of our actions. As 2020 Democrats, the calling is clear, our raison d'etre spelled out.

Our generation must come together to develop a vision that extends beyond the priorities of the immediate election cycle, a vision that articulates the long-term aspirations of our party. We must now begin to consider our goals and refine our visions, to prepare ourselves to serve as the driving force in shaping the future of our party, our country, and our world.

As Democrats, we need to think not only about who can best represent us in the next presidential election, but we need to look beyond one election to develop the next generation of leaders along with the next generation of ideas. In the next two decades, we must be able to come together to build a strong, unified Democratic Party because we have seen over the past few years how a government unfettered by checks and balances can push a radical agenda. We must coalesce to reinstate the values and morals that are at the core of the Democratic Party.

In addition to the Democratic National Committee, other groups, like the Democratic Leadership Council, are also engaged in finding ways for Americans to focus on new ideas rooted in old values such as standards of mutual responsibility. Their 'New Progressive Declaration' states:

Like the Progressives a century ago, we seek to initiate a new politics based on ideas, not just the clash of organized interest. Like them, we hope to craft an agenda that seizes the opportunities of the future rather than clinging to a vanishing past. Like them, we hope to build a new common ground, not new partisan divisions; not to just transform one political party, but to renew the American Dream.

The generation that will become America's leaders in 2020 ought to focus on giving hope and restoring faith in the average citizen, in order for them to achieve their own American Dream.

In the words of Robert Kennedy, the American government must €œPreserve enduring values yet recognize the need to bring opportunity to all citizens. We must as a country rectify the disparity between the haves and have-

Stephanie Sanchez was the Democratic nominee for U.S. Congress (CT-4) in 2000 and 2002.

nots by addressing the needs of poor families particularly in urban areas. We need to go into neighborhoods where Americans have lost hope and see firsthand the problems they face. This idea is consistent with our values and our history, as Bill Moyers pointed out in a recent speech he gave at the "Take Back America Conference" in Washington, D.C. He quoted Page Smith, who mentioned our founder's intent by referencing the American Revolution and reminding us that their ambition was not merely to free themselves from dependence and subordination to the Crown, but to inspire people everywhere to create agencies of government and forms of common social life that would offer greater dignity and hope to the exploited and suppressed. We must work together now to find new solutions to our pressing problems.

Achieving these goals will not be easy but the ideals, power, and humanity of America and its people will greatly aid in the ability to accomplish these goals. While as a society we pursue these lofty goals, it is up to the individual American to work for his or her vision of the kind of America they would like to live in.

In order to remember the vision of America, we need to free ourselves from the illusion of America. This will require of us at least an honest, firsthand approach to the inner, metaphysical dimension of our American values. As Jacob Needleman writes in *Two Dreams of America*, "For it is in this dimension that the vision is rooted. And it is this dimension that is necessary to recover and hold onto. Without it, the vision inevitably decays into illusion: ideas and words that were once life-giving and full of hope inevitably become fantasies that mask our ignorance of ourselves and of the kind of work that is actually required of us."

As young Democrats, we need to come together to build consensus around our values and ideas and then recruit new members to start spreading our message. We must have as our aim what Bill Moyers said in reference to the Progressives of the 20th Century: to keep blood pumping through the veins of democracy when others were ready to call in the mortician. That is why our primary emphasis for the next generation will be enhancing and strongly encouraging some sort of national service such as Americorps to clean up the environment, improve literacy, deglamorize drug use, and tackle a whole host of other social ills facing our country. This service is necessary not only to instill a sense of civic involvement, but also to create common ground between all Americans.

President Clinton sums up the potential of our generation, "We have space, confidence, and a sense of the possibility and we cannot squander it." We don't have a moment to waste and we have only just begun. We can improve America for all its citizens and future generations if we work hard and have hope. By working together, we can provide young Democrats with the tools necessary to turn their consensus vision into a reality. We are living examples of Gandhi's credo that you have to be the change you want to see in the world. There is a clear and present danger and the clock is rapidly ticking away. ♦

"In order to remember the vision of America, we need to free ourselves from the illusion of America."

CONSERVATIVES ON CAMPUS

The Need for Increased Activisim

by Eliana Johnson

Cries of liberal bias, indoctrination and brainwashing have become hackneyed and clichéd. They're everywhere, sometimes they're strident and, as a result of their frequency, they're often easily ignored. I'm inclined to say that liberal domination and liberal bias are in some respects so prevalent as to render commentary superfluous. Moreover, despite the indisputably liberal coloration of politically vocal faculty members, the most prominent, respected and revered professors at Yale are conservatives or, at the least, not liberals.

At the same time, almost all would admit that Yale remains a radical place, a place divorced from the perspective of the average American. That is, students who are proud of this country and what it stands for still seem to be an inconspicuous minority.

The banality of "liberal bias" complaints cannot and should not blur the very real problems persisting on the Yale campus that lack of intellectual diversity creates. What's needed now is an appraisal of what has happened to the political climate of the campus over the past thirty years and what should happen to it in the future. The political climate of this college campus can most clearly be traced through the actions, tone and temperament of its students.

The real issue today is not liberal domination, but the reticence of conservative and apolitical students. Passivity and complacency are the most common political stances among students, perhaps because they are more likely to ensure academic success than vocal opposition to authority. This, coupled with the decrease in Vietnam era political activism, has resulted in a tendency among students merely to support professors' political opinions. Our good-natured complacency has replaced the tendency in the 1960s to oppose professorial and administrative authority on principle alone.

This indifference constitutes a drastic change from the attitude of our parents' generation. In fact, the radicalization of the Yale campus can be traced to the actions of Yale students in 1969, the height of hostilities in the Vietnam War. That year the Yale College faculty voted to abolish the Reserve Officers' Training Corps (ROTC) – America's prime source of military leadership – on the Yale campus. Through their decision, the faculty ushered in a wave of intellectually stifling, militant liberalism and made official Yale's retreat from the perspective of average Americans.

The escalation of the Vietnam War provoked a substantial backlash against the military in the massive student protests the war generated. Yale student protesters focused on the military's most obvious manifestation on campus, the ROTC program. Although the abolition of ROTC was the immediate result of a faculty vote, increasingly radical students had bullied the faculty into timidity. The program's elimination constituted the climax of faculty capitulation to students who saw ROTC as Yale's contribution to an evil war.

The faculty's reforms were mild at first, but as Yale students became more radical Yale's faculty became more fearful and more compliant. In this atmosphere of coercion the faculty voted to ensure ROTC's departure from the Yale campus. Yale's chapter of Students for a Democratic Society (SDS) brazenly declared in the Yale Daily News, "Yale University has the moral responsibility to sever all its connections with the U.S. military establishment." SDS claimed, "the policies [ROTC's] men defend and the interests they serve are fundamentally wrong." On these grounds, SDS chastised the faculty for trying to obscure the political issues by discussing only ROTC's academic merits and they demanded that the program be "*totally abolished* at Yale."

Yale's faculty members fulfilled the crusade of Yale's most radical students. The faculty vote constituted a de facto endorsement of the radical political views of the student body or at least those of its most vocal members. The

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vote also represented an attitude consistent with shame for, rather than pride in, America and its actions abroad.

A few facts about the political climate can be gleaned from the story of ROTC's abolition from Yale in '69. Students *liked* disagreeing with the faculty on principle. The world functioned through the opposition of diametrically opposed forces. This conflict marked the intellectual growth of a generation; hostility toward authority simply was how people grew up intellectually.

I'm not waxing nostalgic about the antagonistic political atmosphere during the Vietnam War. I'm glad that era is over, and I'm glad I didn't have to live through it. But the fact that the political climate on Yale's campus today is almost an exact inversion of the one that existed thirty years ago warrants consideration. Perhaps we need to chart a middle road. Attitudes have been stagnant for a generation because today's students are as resolved in their complacency as their parents' generation was in its rebellion.

The passivity and complacency of current students is not going unnoticed. One professor who chose to remain anonymous remarked that she finds it nearly impossible to elicit opinions from students on the nature of communist Russia if she withholds her own opinion on the subject. Students feel uncomfortable at the prospect of voicing a political opinion that does not come pre-approved by their professors.

Another professor observed that in high schools, rather than memorizing historical dates and facts, students are encouraged to memorize the political views of their teachers. These opinions are often meaningless, multicultural, politically correct babble that students do not question, analyze, or criticize. Memorization of political platitudes for regurgitation is a tried and true path to academic success. Students enter college today with a mindset of endorsing their professors' political beliefs. As a result of such complacency, students merely support the status quo of professorial political opinion because those who either don't know or don't care about politics opt not to challenge reigning professorial opinion. *This* is the most important issue facing the Yale campus today. Students need to hear from their politically minded peers and from their professors that it's okay to admire President Bush, to support the war in Iraq and to be proud of America.

Passivity and timidity need to be replaced with a little gusto and even a little anger because intellectual sloth results in complacency. The fundamental question facing students, faculty, and college campuses is: Are we proud or ashamed of our country? The students radicalized Yale during the Vietnam era by answering that they were ashamed, and students can deliver Yale back to its rightful place in American life by answering that they're proud. Perhaps the first step on this road is calling for the return of ROTC. ♦

PLAYING SOFTBALL

What Chris Mathews is Really All About

by John Coggin

Since its premiere in 1997, MSNBC's *Hardball with Chris Matthews* has become a model for political debate shows on cable, inspiring numerous spin-offs and cutting into network television's domination of evening news. The host's mission is to "interview the people who run the country, hit them with hard questions, and challenge them to give real answers.@ Ideally, this would strike the perfect balance between the objective but cursory political reporting of Tom Brokaw and the rest of network news, and the overt ideological bias of Bill O=Reilly and other *Hardball* imitators. What an incredible public service B forcing politicians of every frame of mind to speak without their talking points, posturing and press handlers. But like the two-faced politicians he claims to hold accountable, Matthews disappoints every time. He talks fast and loud, interrupts his guests frequently, and then, at the end of the program, rehashes the same Washington drivel that sickens voters but gets politicians elected. Matthews may love the game of image-driven politics, but people who turn to journalists when their elected officials deceive them don=t want to play games; they want the truth.

Capital Gang panelist Margaret Carlson once claimed that in the career of a pundit, the Aless you know about something, the better off you are. Unlike many pundits, though, Chris Matthews boasts a wealth of political experience, from speechwriting for Jimmy Carter to being top aide to Tip O=Neill, former Speaker of the House. This insider knowledge of Washington should give him a keen eye for modern newspeak B the stories journalists tell about politicians that are easy to write but reveal nothing substantive B and a healthy disgust for talking points recited by a well-rehearsed politician. Instead of separating sound bites from the naked truth, however, Matthews simply regurgitates them. He clearly loves the art of political persuasion and admires the politician who can shape his public image to his liking, in spite of the truth. AMy main weakness as a journalist covering them,@ Matthews admits, Ais that I love politicians.@

In his book, *Now, Let Me Tell You What I Really Think*, he showers particularly Ronald Reagan with praise. Reagan, he exclaims, Awas the guy who survived his divorce from Jane Wyman, the decline of his movie career, the cancellation of his TV show, and the cruel social downgrading that rides shotgun on such defeat.@ To Matthews, Reagan succeeded brilliantly as president because he mastered the art of communication B Ahe came across as the classic American populist challenging the halls of entrenched authority.@ He may not have actually promoted policies for all people, but the imagery is what counts. Indeed, as he wrote speeches for Carter=s re-election campaign, Matthews once watched Reagan on TV, Acharismatic as hell, standing in shirtsleeves on a piece of overlooked real estate in New Jersey@ with the Statue of Liberty in the background, and concluded that Awe weren=t running against a Republican; we were running against the republic!@ Reagan, moreover, did not serve in World War II, but the Gipper Aevoked its aura with greater success than anyone who had ever lived on K-rations.@ Matthews= chapter on Reagan concludes with a reminder that Athe only times he got in trouble as president were occasions when neither Communism nor big government came into play@; for example, his decision to send Marines to Lebanon in 1983 and the Iran-Contra scandal. These failures matter little in the final evaluation of Reagan B ALike Paul Bunyan, he=ll always be there, towering above the landscape of lesser figures.@

Matthews= love for the PR stunt is just as strong under the current presidential administration. Shortly after September 11th, in a piece for the *San Francisco Chronicle* entitled ALeadership in the Moment,@ he marveled at George W. Bush=s baseball skills:

There are some things you can=t fake. Either you can throw a strike from 60 feet or you can=t. Either you can rise to the occasion on the mound at Yankee Stadium with

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56,000 people watching or you can=t. On Tuesday night, George W. Bush hit the strike zone in the House that Ruth BuiltY This is about knowing what to do at the moment you have to do it B and then doing it. It=s about that Agrace under pressure@ that Hemingway gave as his very definition of courage.

Indeed, Matthews= appreciation for a well-groomed public image extends beyond party lines. In *Now, Let Me Tell You What I Really Think*, he proclaims imagery to be supreme in modern American presidential politics B from FDR to George W. Bush. According to Matthews, to find the winner of a presidential election, one must only Alook for the candidate with the sun in his face.@ The economy, fundraising, and public policy have nothing to do with it. He imagines AJFK looking like a million bucks, hand-combing his hair off his forehead, a crow of >jumpers= straining to get a look at his gleaming teeth, his Palm Beach-tanned face@ and sees a portrait of victory. For the candidates without the sun in his face, the Amen in blue suits behind desks,@ Matthews reserves his unmitigated contempt. In a November 1999 *Hardball*, Matthews complained to a guest about Al Gore=s suit buttons: AWhat could that possibly be saying to women voters, three buttons?@ he asked. AIs there some hidden Freudian deal here or what? I don=t know, I mean, Navy guys used to have buttons on their pants. I don=t know what it means.@ Matthews believed this flaw so critical that he repeated it in five subsequent nights.

Recently, *Hardball* has changed its complexion. The only mainstream cable news host to oppose the war with Iraq, Chris Matthews consistently goes up against Democrats and Republicans alike, pressing them relentlessly to give the public an honest assessment of the post-war reconstruction. Matthews, however, still cannot resist a president with the sun in his face. In a *Hardball* this May, he and his guests discussed how good George W. Bush looked in his flight suit arriving on the deck of the U.S.S. Abraham Lincoln. AHe looks for real,@ Matthews exclaimed, AWhat is it about the commander-in-chief role, the hat that he does wear, that makes him B I mean, he seems like B he didn=t fight in a war, but he looks like he does.@ As U.S. troops fought and died in a war that Matthews passionately opposed, he swooned over Bush=s good looks.

His obsession with military imagery recalled his admiration of Ronald Reagan=s ability to act the part of a soldier. AThe troubling truth,@ Matthews once wrote of Reagan Ais that this impressive American leader was just as compelling when he was fudging.@ On *Hardball*, the fast and ferocious game of politics comes alive, and anyone with respect for the actual work of government plays at their own risk. ♦

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HOWARD DEAN

The Best Choice for the Democratic Party

by Joshua Picker

As the 2004 presidential election approaches, the Democratic Party needs to make a forceful case that the economic, social and foreign policies of President George W. Bush violently pull the United States in the wrong direction. Bush represents corporate interests, radical religious ideals and a dangerous, unilateral foreign policy at the expense of the middle and working classes. Howard Dean, on the other hand, promotes a progressive set of policies and programs that will allow us to take back our country from the Bush Administration's brouhaha.

Dean is the only Democrat who presents voters with an honest and clear contrast to George Bush. His moderate, even conservative, views on fiscal responsibility, tax policy and gun control will win him votes in unexpected places, while his progressive challenges to Bush on health care, civil rights, labor and foreign policy will resonate with an angry and economically wounded electorate. Dean is the only candidate with the prerequisite combination of eloquence, executive experience and organization necessary to be elected president of the United States.

Dean's record alone recommends him for the presidency. As governor of Vermont, Dean accomplished the amazing feats of providing universal (but not socialized) health care, cutting regressive taxes, markedly improving the public education system and balancing the budget every year. Dean signed the nation's first civil unions bill, extending the legal protections and economic benefits of marriage to same-sex partnerships in Vermont. To preserve Vermont's pristine environment Dean protected over 470,000 acres of land (8% of the entire state) and imposed pollution controls stricter than those outlined by the Kyoto Protocols. Dean's insistence on fiscal responsibility caused him to make tough program cuts throughout his tenure, but they were never made at the expense of public education or universal health insurance. Simply put, no other candidate has that kind of résumé.

On the campaign trail, the power of Dean's positive vision for the country has caused the formation of the largest grassroots campaign ever to coalesce around a single candidate. In an era of special interest power politics, Dean has defied the pundits by raising money almost exclusively from low-dollar individual donors rather than from corporations or political action committees. The Internet-based cadre of "Deaniacs" that the campaign has built through the meetup.com Web site has demonstrated that Dean can inspire people of all socioeconomic and geographic backgrounds to take action to spread the campaign's message.

Dean is truly the only Democrat who can rely on a huge group of volunteers that won't back down in the face of the Bush campaign money machine. Dean can win on the word-of-mouth and volunteer support that the Bush Republicans (and even many Democrats) forsake.

As Dean relentlessly criticizes Bush's tax cuts for the wealthy and unjustified war in Iraq, he presents feasible plans to make health insurance available for all Americans, to balance the budget, and to prioritize environmental issues. In a sometimes confusing field of Democratic hopefuls we find a standout combination of policies.

Our generation is tired of Democratic candidates who believe the only way to be elected is to stand with Bush and the radical Republicans on all but a few minor issues. We should want to promote only the most inspiring, substantive and electable presidential candidate. Dean's forceful refutations of the war in Iraq, the Bush tax cuts and the ballooning deficit show that he is not afraid to stand up and argue for his positions. Howard Dean has never lost an election, and his overwhelming popularity amongst a deeply divided Vermont electorate (in which a third major party often delivers elections to Republicans) has demonstrated his political wherewithal. The 400,000-plus Dean supporters who have become members of the deanforamerica.com campaign Web site show that Dean has unparalleled and unprecedented grassroots support in every region of the country, especially amongst disaffected voters who did not cast ballots in the 2000 election.

The United States must restore global confidence in its role as a world power. Before we can begin to tackle world opinion, however, we need to repair the billions of dollars in economic damage that the Bush tax cuts and military campaigns have caused within our borders. Howard Dean is the only candidate with the track record of economic success and the foreign policy perspective necessary to repair the broken back of our great nation. As Democrats, independents and even Republicans who see our country on a path to disaster, we have a moral responsibility and an invaluable opportunity to follow the no-nonsense leadership of Howard Dean. ♦

Joshua Picker is a senior in Davenport College and the Chairman of the Yale Coalition to elect Howard Dean.

counter point

HOWARD DEAN

The Wrong Man for the Job

by Rebecca Webber

It's hard not to like Howard Dean. He's got that determined boyish grin, that arrogant swagger, that steely assertiveness. What's more, he's successfully rousing grassroots support. Even the press loves him; their coverage is flattering. Democrats left and right — well, mostly left — are hopping on the Dean bandwagon. But they should be wary. Neither Dean's supposed political pragmatism nor his budget-balancing fixation belongs in the White House.

Echoing the late Minnesota Senator Paul Wellstone, Dean says that he represents the "Democratic wing of the Democratic Party," but Dean is not the bleeding heart liberal he paints himself to be. His socially liberal positions — on health care, gays, and education, for instance — are more a function of circumstance than ideology. During his 11 years as Governor of Vermont, Dean provided near-universal health care, signed a bill permitting civil unions between gay partners, and redistributed money from wealthy school districts to poorer ones. Yet all these accomplishments are lessened when you remember that Vermont, with a whopping 613,000 residents who lean much further left than the rest of the country, is hardly a microcosm of the nation.

Dean proudly describes his tendency to rely on situational factors, not ideology, as pragmatism. Considering that ideologues are often inflexibly enslaved by their prepackaged beliefs, Dean's pragmatism wouldn't be such a bad thing if he didn't use it as a veil for intellectual dishonesty. Take civil unions, for example. Dean trumpets his supposed liberalism on equal marriage benefits for both gay and straight couples. But Dean was hardly the impetus for the civil union bill in Vermont; in fact, the state Supreme Court forced the state legislature into giving the benefits to gays and Dean merely signed the bill. Dean refrains from mentioning the Court's ruling when he's busy collecting donations from gays and lesbians.

For the most part, though, it's hard to take issue with Dean's apparent social liberalism, regardless of whether it stems from pragmatism or ideology; any serious Democratic candidate needs to support civil unions and environmental conservation to win the nomination. The problem with Dean is that he is a balanced-budget fanatic. In a July speech announcing his economic plan for the country, Dean told voters, "Vermont is the only state that does not require a balanced budget, but I balanced the budget every year of my 11 years as Governor ... I'm not afraid to say 'no' to spending plans that don't make sense."

Attempting to curtail government spending is not a sensible response to an economic downturn. A recession occurs because people aren't spending enough. To stimulate the economy, government spending creates greater demand, which then raises prices. Producers like the higher prices, so they increase supply. And once supply increases, more workers are needed to produce the goods. Those workers get money for their labor, which they can use to buy goods. Suddenly, consumers are spending again. "Government spending is that initial impetus to get things started," said Carmel Chiswick, an economics professor at the University of Illinois.

Dean's resolve to put the kibosh on government spending in order to balance the budget would obstruct the government's ability to stimulate the economy, probably causing the recession to drag on even longer. "If the economy is still in recession," said Chiswick, "[Dean's presidency] would not be a good thing."

That said, however, some degree of fiscal discipline is important. Bush lacks this restraint entirely—his enormous tax cuts (coupled with spending on Iraq) are largely responsible for this year's gargantuan projected $550 billion deficit. Bush's benefits do not kick in for years, and they are too large; the deficit this year approaches 5% of the country's gross domestic product, which is only 1% short of Reagan's record-setting $208 billion deficit in 1983.

Whether Dean is right to argue for the total repeal of Bush's tax cuts is debatable — politically, it's not the wisest move — but coupling the elimination of the tax cuts with reduced spending is ill-advised.

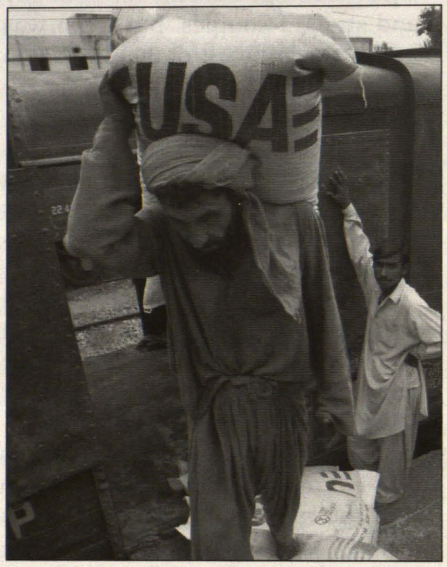
The Democrats need a candidate who is liberal on social issues and fiscally moderate with no ruinous budget-balancing obsessions. Joe Lieberman isn't socially liberal, and Dick Gephardt's not fiscally moderate. General Wesley Clark could be the Democrats' saving grace, but his utter lack of domestic policy experience makes it difficult to tell where exactly he fits on the spectrum.

John Kerry's the best man the Dems have got—he's right on the mark on most issues, including the economy. Kerry, however, fails miserably in his efforts to galvanize Democrats. So which is worth more: energizing voters or salvaging the economy? When Americans' job prospects are on the line, they'll probably be energized to vote for resuscitating the economy — a job Dean is not prepared to do. ♦

Rebecca Webber, a junior at Columbia University, edits the Columbia Political Review.

LEADING THE WAY

by Sam Asher and David White
Editors-in-Chief



Although he spoke firmly against nation building in his 2000 campaign, President Bush has reversed course in the wake of September 11. The reconstruction of Iraq is the primary political issue, both inside and outside the Beltway. United States involvement in Afghanistan, though reduced, continues to be a major commitment of troops and funds. International development is more of a priority and a necessity than it has been in recent history.

The Politic applauds this shift in priorities, and we can only hope that the Bush administration continues to recognize the importance of development work abroad. In the world's current climate, American-assisted development can serve to both defend our security and promote a universal respect for human dignity. Although there seems to be no consensus, there are certain changes in approach that should be made for the United States to be more effective in development efforts around the world.

The first change should be in priority. While the debate rages over our levels of commitment in Iraq and Afghanistan, there are many other countries that are in desperate need of economic and political assistance. The United States currently devotes about 0.8% of national GDP to foreign aid, a number far lower than the majority of other developed nations. As the most powerful and wealthiest nation on the planet, the United States must take more of a leadership role in providing aid to the world's poor and hungry.

Priority should come not only from generous intentions, but a recognition that foreign assistance is crucial to our national security interests. The war on terror must attack the root causes of the terrorist ideology. Resentment against the United States comes in many forms, but much of it is the product of the abject poverty and hopelessness that dominate the lives of so many people in developing countries. They see the power of the United States and resent the divide between the rich countries and their own. An increased commitment to the world's poor would help dispel the anger and envy that serves as the fuel for so much of the terrorism we are fighting.

Much attention has been given recently to the importance of *effective* allocation of foreign assistance. The World Bank, in recommending that rich countries give an additional $10 billion per year to restore 1990 aid levels, concluded that the money would lift 25 million people out of poverty if given to countries with good governance. If the money were allocated as it is now, on the other hand, it could help only 7 million people out of poverty. This is a dilemma, because countries with the most need are also the most likely to have corrupt and inefficient regimes. Nevertheless, it is important to target assistance effectively.

Towards this end, the Bush administration should be praised for its proposed Millennium Challenge Account. This fund would increase total foreign aid by $5 billion, and the money would be allocated to countries that demonstrate a commitment to good governance, human development and sound economic principles. These incentives will serve to encourage efficiency and accountability, ensuring Americans that their tax dollars are being well spent. A proposal, however, does nothing to help lift people and nations out of poverty. It is therefore the responsibility of President Bush and Congress to turn this idea into reality with the necessary legislation and funding.

Finally, the United States should show a greater degree of flexibility and humility in its approach to international development. There is no magic formula for success, and we must be prepared to design very different programs to suit the very different cultural and political factors that exist in the countries we seek to assist. In many countries, local and established organizations already seek to provide development assistance. It is both foolish and wasteful for the United States to insist on establishing its own agencies in such places. After all, the Bush administration has used the same logic to advocate faith-based initiatives at home. This increased humility should also lead to greater international cooperation. As the reconstruction in Iraq has shown, development efforts are difficult without the financial and political support of a unified international community.

The United States has long stood for "life, liberty and the pursuit of happiness." To be consistent with such a vision, it is imperative that the world's most powerful nation step up to the challenge and lead the global effort to spread the prosperity and liberty that we hold so dear. ♦

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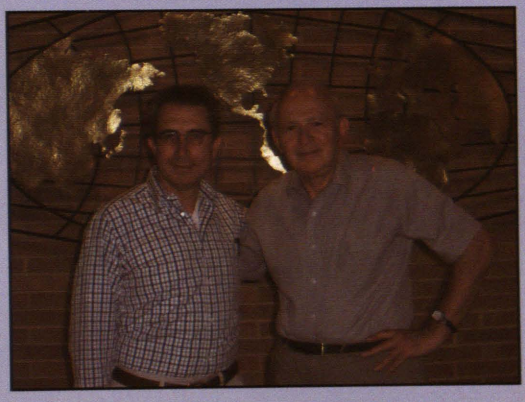

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